Goldman Sachs Research

Equity Research

17 July 2026 | 9:22PM HKT

CHINA BASIC MATERIALS MONITOR

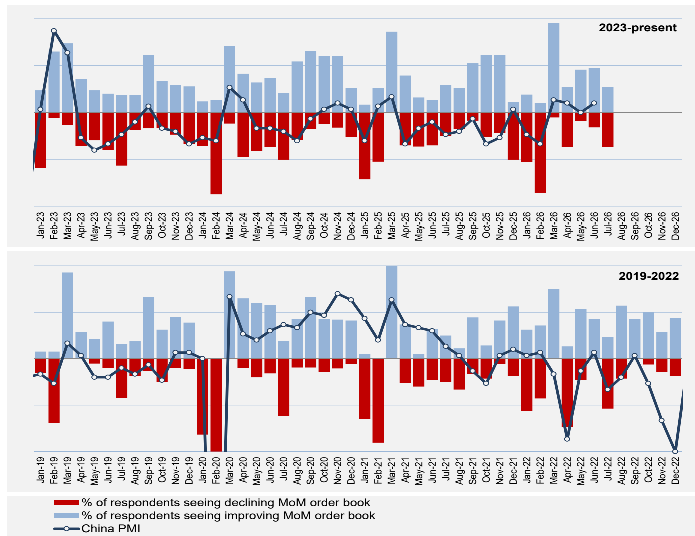
July 2026: losing incremental strength

Summary: End-user orderbooks softened as of mid-July, mostly in line with past pattern, a weaker trend versus prior months, as seasonality and a lack of incremental strength in exports combined with persistently soft domestic demand. Specifically, changes in construction, auto, metal fabrications have been the main drivers for the deceleration in July. Finished goods inventory edged up - 24% of producers are seeing higher than normal inventory, versus 9% in June, mostly in battery, machinery, appliances and selected metal fabrications. On the supply side, safety enforcement in coal production remained tight and is likely to sustain in the coming months. Other policy-related supply work, including industry benchmark energy efficiency requirements, has not translated to changes across sectors. With depressed profits, production cuts by mills and small cement producers have started. On the contrary, China primary aluminum output moved up further in June.

High-frequency data suggest that, in the first half of July, Chinese demand was 4-10% lower yoy for cement and construction steel, flattish for flat steel, and 3% higher for copper. Margin/pricing for cement and copper were stable, while aluminium, steel, coal and lithium softened.

Channel checks: Based on producer feedback in our proprietary survey, the forward orderbook trend softened MoM – 27%/27% of respondents indicated a MoM improving trend in July for downstream sectors and commodities respectively.

Exhibit 1: Downstream order book softened MoM in July



Source: CEIC, Goldman Sachs Global Investment Research (proprietary survey)

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China Basic Materials – coverage summary

Exhibit 2: China Basic Materials – coverage summary

Company *Price as of 16-Jul-2026*	Ticker	Price Tccy	Target Tccy	Trading ccy	Rating	Upside %	Mkt cap US$ bn	NP (rpt ccy bn) 25A	NP (rpt ccy bn) 26E	NP (rpt ccy bn) 27E	PE 26E	PE 27E	PE-cons 26E	PE-cons 27E	ROE 26E	ROE 27E	PB 26E	PB 27E	EV/EBITDA 26E	EV/EBITDA 27E	FCF yield 26E	FCF yield 27E	Div yield 25A	Div yield 26E	Div yield 27E	Perf. 1M	Perf. YTD	ADTV US$ mn
Steel																												
Angang-H	0347.HK	1.16	1.15	HKD	Sell	-1%	1.4	(4.07)	(4.83)	(1.35)	n.a.	n.a.	n.a.	n.a.	-12%	-4%	0.2	0.2	n.a.	10.2	-45%	-1%	0.0%	0.0%	0.0%	-6%	-41%	1.3
Angang-A	000898.SZ	1.96	1.65	CNY	Sell	-16%	2.7	(4.07)	(4.83)	(1.35)	n.a.	n.a.	n.a.	n.a.	-12%	-4%	0.5	0.5	n.a.	13.6	-24%	-1%	0.0%	0.0%	0.0%	-2%	-23%	11.4
Baosteel	600019.SS	5.68	6.70	CNY	Neutral	18%	18.6	10.35	9.83	13.81	12.4	8.8	11.5	9.8	5%	6%	0.6	0.6	5.0	4.1	6%	11%	4.3%	5.0%	7.0%	-2%	-24%	88.2
Maanshan-H	0323.HK	1.65	2.20	HKD	Neutral	33%	1.6	(0.21)	0.30	0.98	36.7	11.2	17.2	6.4	1%	4%	0.5	0.5	6.6	5.0	0%	8%	0.0%	1.4%	4.5%	-6%	-37%	2.6
Maanshan-A	600808.SS	2.49	2.40	CNY	Sell	-4%	2.8	(0.21)	0.30	0.98	64.1	19.6	29.3	12.8	1%	4%	0.8	0.8	8.3	6.3	0%	6%	0.0%	0.8%	2.5%	-9%	-41%	29.4
Coal																												
Shenhua-H	1088.HK	41.88	45.00	HKD	Neutral	7%	109.8	54.2	66.5	65.8	11.2	11.7	12.7	12.6	16%	15%	1.8	1.7	6.0	6.3	8%	7%	6.6%	6.7%	6.6%	-3%	6%	79.4
Shenhua-A	601088.SS	43.27	47.00	CNY	Neutral	9%	131.4	54.2	66.5	65.8	13.4	14.0	15.2	15.2	16%	15%	2.1	2.0	7.2	7.5	6%	6%	5.4%	5.6%	5.5%	3%	7%	271.1
Chinacoal-H	1898.HK	10.03	18.00	HKD	Buy	79%	17.0	14.5	19.7	20.2	5.8	5.7	6.1	6.3	12%	11%	0.7	0.6	3.5	3.1	9%	18%	4.5%	6.4%	6.5%	-11%	-1%	32.6
Chinacoal-A	601898.SS	12.54	23.00	CNY	Buy	83%	24.6	14.5	19.7	20.2	8.4	8.2	8.6	8.6	12%	11%	1.0	0.9	4.8	4.3	7%	14%	3.3%	4.4%	4.5%	-10%	1%	116.3
Yankuang-H	1171.HK	11.11	15.00	HKD	Neutral	35%	14.2	8.5	13.3	11.9	7.2	8.1	6.1	7.0	18%	15%	1.2	1.1	5.3	5.4	14%	14%	6.0%	8.1%	7.3%	-13%	14%	72.2
Yankuang-A	600188.SS	19.47	19.00	CNY	Sell	-2%	28.9	8.5	13.3	11.9	14.7	16.5	12.3	12.6	18%	15%	2.5	2.3	7.1	7.4	10%	10%	3.8%	4.0%	3.6%	-3%	48%	202.3
Cement																												
Conch-H	0914.HK	17.03	27.00	HKD	Buy	59%	11.5	8.46	9.7	13.8	8.0	5.6	9.1	8.2	5%	7%	0.4	0.4	1.8	0.9	6%	18%	4.1%	6.6%	9.5%	-5%	-25%	19.1
Conch-A	600585.SS	17.55	26.50	CNY	Buy	51%	13.7	8.46	9.7	13.8	9.6	6.7	10.7	9.6	5%	7%	0.5	0.4	2.6	1.5	5%	15%	3.6%	5.6%	8.0%	-4%	-20%	94.4
BBMG-H	2009.HK	0.58	0.70	HKD	Neutral	21%	0.8	(1.01)	(2.23)	(2.07)	n.a.	n.a.	n.a.	n.a.	-3%	-3%	0.1	0.1	25.5	20.5	-48%	-11%	7.0%	10.0%	10.0%	-9%	-22%	0.9
BBMG-A	601992.SS	1.42	1.00	CNY	Sell	-30%	2.2	(1.01)	(2.23)	(2.07)	n.a.	n.a.	n.a.	n.a.	-3%	-3%	0.2	0.2	27.3	21.9	-33%	-8%	3.0%	3.5%	3.5%	-5%	-15%	15.7
CNBM	3323.HK	3.84	6.00	HKD	Buy	56%	3.7	(3.75)	3.57	6.83	7.0	3.7	5.5	4.4	4%	7%	0.3	0.2	9.9	7.8	-2%	15%	3.6%	7.1%	13.6%	-42%	-25%	56.5
CRBMT	1313.HK	1.06	1.30	HKD	Neutral	23%	0.9	0.48	(0.03)	0.70	n.a.	9.1	10.1	7.4	0%	2%	0.1	0.1	8.7	5.5	-19%	20%	2.2%	1.3%	5.5%	-9%	-34%	2.3
WCC	2233.HK	1.71	1.10	HKD	Sell	-36%	1.2	0.88	0.59	1.03	13.8	7.8	10.5	7.2	5%	8%	0.6	0.6	6.1	5.3	-7%	-2%	2.5%	2.2%	3.8%	4%	-45%	7.0
Base metals																												
Chalco-H	2600.HK	7.87	7.50	HKD	Sell	-5%	17.2	12.7	20.7	9.7	5.6	12.0	5.4	5.9	25%	11%	1.3	1.3	3.4	6.3	20%	8%	4.8%	7.4%	3.8%	-11%	-38%	76.0
Chalco-A	601600.SS	8.68	7.80	CNY	Sell	-10%	22.0	12.7	20.7	9.7	7.2	15.3	6.9	7.5	25%	11%	1.6	1.6	4.0	7.4	17%	6%	3.6%	5.8%	3.0%	-13%	-29%	443.5
Hongqiao	1378.HK	22.86	26.00	HKD	Neutral	14%	28.8	22.6	37.1	22.4	5.3	8.6	5.9	6.1	26%	15%	1.3	1.3	3.4	5.3	15%	9%	8.5%	12.7%	7.7%	-4%	-33%	183.2
JXC-H	0358.HK	32.32	45.00	HKD	Buy	39%	14.3	7.37	14.1	14.1	6.8	6.9	7.8	7.8	16%	15%	1.1	1.0	6.5	6.4	-7%	8%	5.4%	6.8%	6.8%	-14%	-26%	68.7
JXC-A	600362.SS	42.11	60.00	CNY	Buy	42%	21.5	7.37	14.1	14.1	10.3	10.4	11.6	11.9	16%	15%	1.6	1.5	8.7	8.5	-5%	5%	3.6%	4.5%	4.5%	-13%	-23%	406.6
MMG	1208.HK	7.63	14.00	HKD	Buy	83%	11.8	0.51	2.03	2.12	5.8	5.6	7.8	7.6	41%	30%	2.0	1.5	2.8	2.4	14%	20%	0.0%	0.0%	1.8%	-11%	-16%	52.9
CMOC-H	3993.HK	16.29	25.00	HKD	Buy	53%	44.5	20.3	35.0	37.4	8.6	8.0	9.7	8.9	36%	30%	2.7	2.2	5.1	4.1	5%	10%	3.1%	3.5%	3.7%	-16%	-19%	108.3
CMOC-A	603993.SS	18.20	26.00	CNY	Buy	43%	57.5	20.3	35.0	37.4	11.1	10.4	11.9	11.3	36%	30%	3.5	2.8	6.6	5.3	4%	8%	2.7%	2.7%	2.9%	-10%	-9%	823.8
Zijin-H	2899.HK	30.86	51.00	HKD	Buy	65%	104.7	51.8	78.9	91.0	9.0	7.8	8.7	8.1	36%	32%	2.9	2.3	5.7	4.8	11%	12%	2.9%	3.9%	4.5%	-7%	-16%	265.7
Zijin-A	601899.SS	29.25	49.00	CNY	Buy	68%	114.9	51.8	78.9	91.0	9.9	8.5	9.6	8.8	36%	32%	3.1	2.5	6.2	5.2	10%	11%	2.7%	3.5%	4.1%	-4%	-15%	1,426.2
Zhaojin	1818.HK	18.63	42.00	HKD	Buy	125%	8.4	3.61	6.97	10.25	8.2	5.6	10.6	8.3	25%	28%	1.8	1.4	5.7	3.6	12%	15%	0.5%	1.2%	1.7%	-13%	-42%	57.5
Lithium																												
Ganfeng-H	1772.HK	39.84	60.00	HKD	Sell	51%	10.7	1.61	3.65	1.61	19.8	44.8	9.8	8.6	8%	3%	1.5	1.5	12.2	16.8	1%	0%	0.5%	1.0%	0.4%	-34%	-26%	106.5
Ganfeng-A	002460.SZ	49.97	53.00	CNY	Sell	6%	15.5	1.61	3.65	1.61	28.7	65.0	14.8	14.2	8%	3%	2.2	2.1	16.0	21.9	1%	0%	0.3%	0.7%	0.3%	-30%	-21%	665.7
Tianqi-H	9696.HK	33.68	48.00	HKD	Sell	43%	7.2	0.46	4.35	2.30	11.2	21.5	8.5	8.0	9%	5%	1.0	1.0	4.7	8.6	10%	10%	0.0%	1.8%	0.9%	-27%	-36%	52.5
Tianqi-A	002466.SZ	49.34	42.00	CNY	Sell	-15%	12.2	0.46	4.35	2.30	19.0	36.5	13.5	12.1	9%	5%	1.6	1.6	7.2	13.6	7%	6%	0.0%	1.1%	0.5%	-23%	-11%	729.6
Yahua	002497.SZ	17.45	21.50	CNY	Sell	23%	3.0	0.63	1.59	1.18	12.7	17.0	8.8	8.9	14%	9%	1.6	1.5	7.0	7.6	2%	9%	0.4%	0.9%	0.6%	-24%	-29%	201.4
Yongxing	002756.SZ	44.26	52.00	CNY	Sell	17%	3.5	0.66	1.53	0.92	15.6	25.9	12.6	11.4	11%	6%	1.7	1.7	9.9	15.2	5%	1%	1.1%	2.1%	1.2%	-29%	-18%	202.4
QH Salt Lake	000792.SZ	24.68	45.00	CNY	Buy	82%	19.3	8.48	13.51	8.79	9.7	14.9	10.8	10.1	26%	15%	2.2	2.2	5.4	8.1	10%	7%	0.0%	5.2%	3.4%	-20%	-12%	491.7
Huayou	603799.SS	38.82	51.00	CNY	Sell	31%	10.9	6.11	7.25	6.63	10.1	11.1	8.0	6.9	14%	12%	1.3	1.2	8.1	7.8	-1%	7%	1.1%	1.5%	1.4%	-26%	-43%	574.0
GEM	002340.SZ	6.31	8.00	CNY	Neutral	27%	4.8	1.58	1.88	2.03	17.2	15.9	16.2	12.4	8%	9%	1.4	1.3	10.4	9.7	-7%	2%	1.4%	1.8%	1.9%	-15%	-25%	204.0
Paper																												
NDPaper	2689.HK	7.47	4.30	HKD	Sell	-42%	4.5	1.77	2.44	1.88	10.6	13.2	8.5	8.5	5%	4%	0.5	0.6	11.1	11.1	-20%	-20%	0.0%	1.3%	1.1%	6%	25%	11.9
Sunpaper	002078.SZ	13.62	12.20	CNY	Sell	-10%	5.6	3.25	3.40	3.24	11.2	11.8	10.7	9.9	11%	9%	1.2	1.1	8.4	8.1	-9%	2%	2.1%	2.3%	2.2%	5%	-14%	45.8

Source: Company data, Datastream, Goldman Sachs Global Investment Research

Prices in this report are as of July 16, 2026, unless stated otherwise. "Target", in Exhibits 2/44/51/58/71/78/85, refers to 12-month target prices. *The authors would like to thank Arthur Deng for his contributions to the report.*

Commodity price deck

Exhibit 3: Benchmark commodity price forecasts – global and China

BASE METALS		2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	3Q25A	4Q25A	1Q26A	2Q26A	3Q26 QTD	Spot	YTD
Al-LME	US$/lb	0.89	0.96	0.81	0.77	1.12	1.22	1.02	1.10	1.19	1.46	1.22	1.18	1.19	1.28	1.45	1.62	1.40	1.44	1.53
yoy	*%*	*23%*	*7%*	*-15%*	*-5%*	*45%*	*9%*	*-17%*	*7%*	*9%*	*22%*	*-16%*	*-4%*	*10%*	*10%*	*22%*	*45%*	*17%*	*19%*	*33%*
Cu-LME	US$/lb	2.90	2.96	2.72	2.79	4.21	4.00	3.85	4.15	4.51	6.05	6.26	4.54	4.45	5.04	5.82	6.06	6.02	6.17	5.94
yoy	*%*	*32%*	*2%*	*-8%*	*2%*	*51%*	*-5%*	*-4%*	*8%*	*9%*	*34%*	*4%*	*-28%*	*7%*	*21%*	*37%*	*40%*	*35%*	*38%*	*39%*
Nickel-LME	US$/lb	4.58	5.95	6.31	6.25	8.37	11.80	9.74	7.63	6.88	8.29	8.29	8.29	6.82	6.75	7.86	8.20	7.32	7.51	8.01
yoy	*%*	*5%*	*30%*	*6%*	*-1%*	*34%*	*41%*	*-17%*	*-22%*	*-10%*	*21%*	*0%*	*0%*	*-7%*	*-7%*	*11%*	*19%*	*7%*	*8%*	*15%*
Alumina	US$/t	299	472	334	270	328	362	344	539	389	318	355	370	361	318	309	311	330	328	311
yoy	*%*	*19%*	*58%*	*-29%*	*-19%*	*21%*	*10%*	*-5%*	*57%*	*-28%*	*-18%*	*12%*	*4%*	*-29%*	*-55%*	*-41%*	*-13%*	*-8%*	*-10%*	*-29%*
Gold	US$/oz	1,260	1,269	1,392	1,769	1,800	1,803	1,942	2,385	3,434	4,691	5,177	4,000	3,450	4,145	4,865	4,508	4,110	4,053	4,673
yoy	*%*	*1%*	*1%*	*10%*	*27%*	*2%*	*0%*	*8%*	*23%*	*44%*	*37%*	*10%*	*-23%*	*40%*	*56%*	*70%*	*37%*	*19%*	*18%*	*40%*
BULK and ENERGY COMMODITIES																				
Oil-Brent	US$/bbl	52	72	64	43	71	99	82	80	68	87	75	71	68	63	78	97	72	85	87
yoy	*%*	*17%*	*38%*	*-11%*	*-33%*	*64%*	*40%*	*-17%*	*-3%*	*-15%*	*27%*	*-14%*	*-5%*	*-13%*	*-15%*	*5%*	*45%*	*5%*	*24%*	*23%*
IO fines - China CIF	US$/dmt	71	69	93	108	159	120	119	109	102	105	88	81	102	105	105	107	99	100	106
yoy	*%*	*22%*	*-2%*	*34%*	*17%*	*47%*	*-25%*	*0%*	*-8%*	*-7%*	*3%*	*-16%*	*-8%*	*2%*	*1%*	*2%*	*10%*	*-2%*	*1%*	*6%*
HCC (Spot - FOB Australia)	US$/t	189	208	177	125	224	358	295	240	188	241	240	245	183	199	234	236	242	243	235
yoy	*%*	*33%*	*10%*	*-15%*	*-30%*	*79%*	*60%*	*-18%*	*-19%*	*-22%*	*28%*	*0%*	*2%*	*-13%*	*-1%*	*26%*	*28%*	*32%*	*37%*	*26%*
Thermal coal-NEWC6000	US$/t	87	107	78	61	138	359	174	132	106	124	105	101	109	108	119	133	133	129	127
yoy	*%*	*32%*	*24%*	*-28%*	*-22%*	*128%*	*160%*	*-52%*	*-24%*	*-20%*	*18%*	*-16%*	*-4%*	*-23%*	*-15%*	*13%*	*33%*	*22%*	*16%*	*24%*
CHINA PRICES																				
Steel-HRC	Rmb/t	3,696	4,182	3,856	3,898	5,420	4,503	4,085	3,709	3,363	3,427	3,415	3,368	3,415	3,296	3,296	3,412	3,320	3,350	3,355
yoy	*%*	*31%*	*13%*	*-8%*	*1%*	*39%*	*-17%*	*-9%*	*-9%*	*-9%*	*2%*	*0%*	*-1%*	*1%*	*-8%*	*-5%*	*5%*	*-3%*	*2%*	*0%*
Steel-CRC	Rmb/t	4,390	4,608	4,262	4,461	6,018	4,982	4,664	4,203	3,827	3,819	4,036	4,103	3,794	3,775	3,652	3,711	3,620	3,670	3,680
yoy	*%*	*29%*	*5%*	*-8%*	*5%*	*35%*	*-17%*	*-6%*	*-10%*	*-9%*	*0%*	*6%*	*2%*	*0%*	*-7%*	*-11%*	*2%*	*-5%*	*-1%*	*-5%*
Steel-rebar	Rmb/t	3,605	4,124	3,885	3,718	5,042	4,417	3,928	3,542	3,247	3,291	3,167	3,086	3,274	3,233	3,240	3,249	3,160	3,140	3,242
yoy	*%*	*50%*	*14%*	*-6%*	*-4%*	*36%*	*-12%*	*-11%*	*-10%*	*-8%*	*1%*	*-4%*	*-3%*	*0%*	*-7%*	*-3%*	*3%*	*-3%*	*-2%*	*0%*
Al-SHFE	US$/lb	0.83	0.85	0.80	0.82	1.17	1.20	1.06	1.11	1.16	1.37	1.12	1.12	1.16	1.22	1.40	1.43	1.33	1.37	1.42
yoy	*%*	*16%*	*2%*	*-6%*	*3%*	*42%*	*2%*	*-12%*	*5%*	*4%*	*18%*	*-18%*	*0%*	*6%*	*7%*	*24%*	*28%*	*15%*	*19%*	*26%*
Cu-SHFE	US$/lb	2.81	3.00	2.75	2.83	4.22	4.03	3.86	4.17	4.52	6.05	6.26	4.54	4.46	5.04	5.83	6.08	6.06	6.18	5.96
yoy	*%*	*26%*	*7%*	*-8%*	*3%*	*49%*	*-5%*	*-4%*	*8%*	*8%*	*34%*	*3%*	*-27%*	*6%*	*20%*	*37%*	*41%*	*36%*	*41%*	*39%*
China Alumina	Rmb/t	2,903	2,980	2,682	2,343	2,799	2,926	2,940	4,084	3,196	2,644	2,600	2,800	3,137	2,818	2,666	2,731	2,833	2,785	2,703
yoy	*%*	*42%*	*3%*	*-10%*	*-13%*	*19%*	*5%*	*0%*	*39%*	*-22%*	*-17%*	*-2%*	*8%*	*-20%*	*-48%*	*-29%*	*-11%*	*-10%*	*-12%*	*-20%*
Li carbonate-CN spot	US$/t	17,840	15,183	8,796	5,656	16,641	63,275	32,620	11,162	9,316	15,684	10,124	16,000	9,030	11,032	19,728	22,434	19,891	20,119	21,102
yoy	*%*	*-2%*	*-15%*	*-42%*	*-36%*	*194%*	*280%*	*-48%*	*-66%*	*-17%*	*68%*	*-35%*	*58%*	*-9%*	*18%*	*114%*	*181%*	*120%*	*151%*	*147%*
Li hydroxide-coarse, CN spot	US$/t	18,893	17,883	10,557	6,652	15,634	61,487	33,368	10,078	8,766	15,027	10,124	16,000	8,491	10,117	18,800	20,684	18,130	18,486	19,759
yoy	*%*	*-2%*	*-5%*	*-41%*	*-37%*	*135%*	*293%*	*-46%*	*-70%*	*-13%*	*71%*	*-32%*	*58%*	*-9%*	*21%*	*120%*	*161%*	*114%*	*161%*	*141%*
Li hydroxide-fine, CIF Asia	US$/t	19,063	19,521	14,035	10,431	14,667	50,892	47,932	12,468	9,057	13,933	10,124	16,000	8,567	9,489	15,683	19,336	20,250	19,850	17,650
yoy	*%*	*31%*	*2%*	*-28%*	*-26%*	*41%*	*247%*	*-6%*	*-74%*	*-27%*	*54%*	*-25%*	*58%*	*-24%*	*-1%*	*68%*	*119%*	*136%*	*141%*	*-1%*
Spodumene price 6%-CN CIF	US$/t	770	901	635	431	909	4,344	3,623	943	862	1,584	870	1,300	813	1,088	2,080	2,491	2,219	2,230	2,289
yoy	*%*	*54%*	*17%*	*-30%*	*-32%*	*111%*	*378%*	*-17%*	*-74%*	*-8%*	*84%*	*-44%*	*49%*	*-6%*	*38%*	*149%*	*249%*	*173%*	*227%*	*198%*
Thermal (QHD5500-blended)	Rmb/t	501	590	573	557	825	791	763	730	685	730	729	696	670	700	689	713	727	703	702
yoy	*%*	*15%*	*18%*	*-3%*	*-3%*	*48%*	*-4%*	*-3%*	*-4%*	*-6%*	*7%*	*0%*	*-5%*	*-8%*	*-3%*	*-1%*	*6%*	*8%*	*6%*	*3%*
Thermal (QHD5500-spot)	Rmb/t	640	654	588	569	872	1,271	966	855	698	852	850	750	673	767	718	817	835	803	770
yoy	*%*	*35%*	*2%*	*-10%*	*-3%*	*53%*	*46%*	*-24%*	*-11%*	*-18%*	*22%*	*0%*	*-12%*	*-21%*	*-7%*	*-1%*	*21%*	*24%*	*26%*	*14%*
Hebei HCC (ex VAT)	US$/t	177	196	195	183	308	333	273	242	174	205	210	213	170	193	188	220	252	236	205
yoy	*%*	*58%*	*11%*	*0%*	*-6%*	*68%*	*8%*	*-18%*	*-11%*	*-28%*	*18%*	*3%*	*1%*	*-26%*	*-11%*	*8%*	*38%*	*49%*	*54%*	*28%*

Source: Bloomberg, Goldman Sachs Global Investment Research, Note: Spot prices updated as of July 15, 2026

China Basic Materials Monitor (July 2026): losing incremental strength

Our monthly China Basic Materials Monitor incorporates our proprietary survey of over 60 industry contacts to track: 1) forward order book trends; and 2) inventory levels at producers and end-users. The survey includes aggregated comments from producers and manufacturers in downstream sectors such as auto/EV, appliances, machinery, battery, solar, cathode and property developers as well as steel mills, IO traders, cement, RMC and glass producers, metal fabricators, containerboard producers, coal producers and power generators, and industry associations.

End-user orderbooks softened as of mid-July.

End-user orderbooks softened as of mid-July, mostly in line with past pattern, a weaker trend versus prior months, as seasonality and a lack of incremental strength in exports combined with persistently soft domestic demand. Specifically, changes in construction, auto, metal fabrications have been the main drivers for the deceleration in July. Finished goods inventory edged up - 24% of producers are seeing higher than normal inventory, versus 9% in June, mostly in battery, machinery, appliances and selected metal fabrications. On the supply side, safety enforcement in coal production remained tight and is likely to sustain in the coming months. Other policy-related supply work, including industry benchmark energy efficiency requirements, has not translated to changes across sectors. With depressed profits, production cuts by mills and small cement producers have started. On the contrary, China primary aluminum output moved up further in June.

Feedback from end-user forward orderbooks as of mid-July 2026 suggests that 27% of respondents expect a MoM improvement, versus 47% in June-26.

Feedback from producers as of mid-July 2026 suggests that the end-user orderbook softened, with the MoM trend inline with the normal historical range.

- Realized sales trends in June 2026 were mostly in line versus producers' expectations.
- The MoM end-user forward orderbook trend softened, with 27% of respondents expecting a MoM improvement in July 2026 versus 47% in June 2026, and 36% of respondents expecting a MoM decline in June 2026, versus 16% in June 2026.
- The orderbook trend for basic materials softened, with 27% of respondents expecting a MoM improvement in orderbooks in July (versus 37% in June), and 48% expecting a decline (versus 43% in June). Specifically, the percentage of respondents expecting orderbook improvement was 100% for coal (versus 75% in June), nil for steel (versus nil in June), nil for building materials (versus 14% in June), 22% for base metal fabricators and traders (versus 43% in June), and 33% for containerboard paper (versus 100% in June).
- Across all respondents, 17% are seeing MoM trends stronger-than-normal seasonality, 57% are seeing normal seasonal patterns, and 26% are seeing weaker-than-normal seasonality (mostly in steel and building materials).

Channel checks – inventory levels at producers and end-users

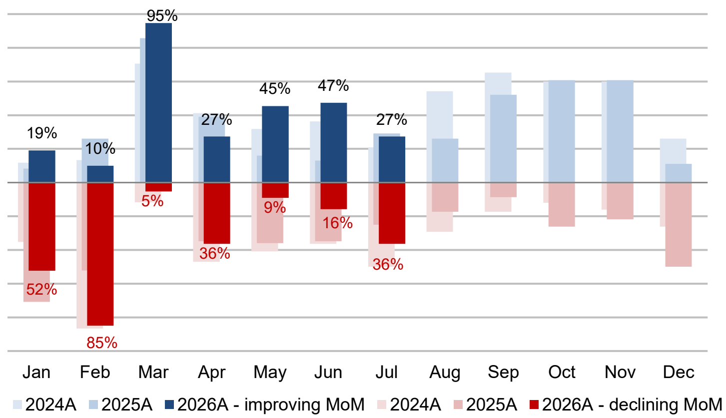
Our inventory checks include both raw materials and end-product inventory held at producers through the value chain

Our inventory survey as of mid-July suggests above normal for coal/steel/Al/finished products, at normal levels for alumina/iron ore/met coal/building materials and below normal for copper/OCC/paper.

(excluding exchange and social inventory). Feedback is centered on the relative position of the current inventory versus normal levels (seasonally adjusted), and the direction of inventory changes at the time of the survey. Our inventory survey as of mid-July suggests above normal for coal/steel/Al/finished products, at normal levels for alumina/iron ore/met coal/building materials, and below normal for copper/OCC/paper.

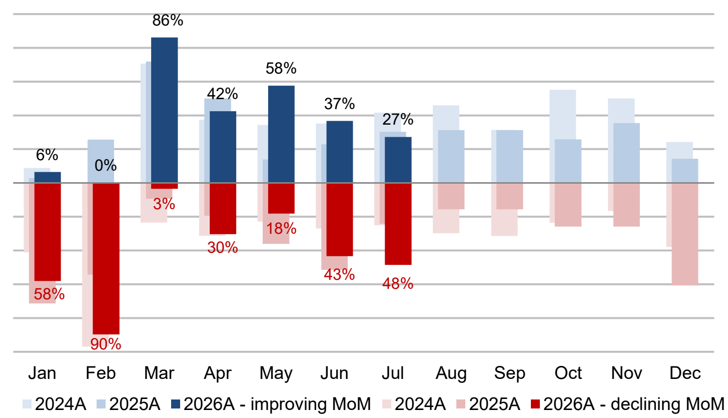
- Inventory for finished steel is above normal levels (net 22% of respondents are seeing above-normal inventory) and moving down; iron ore and coking coal at normal levels and stable.
- Inventory for aluminium is above normal levels (net 10% of respondents are seeing above-normal inventory) and moving down. Inventory for alumina is at normal levels and moving down.
- Inventory for copper is below normal levels (net 25% of respondents are seeing below-normal inventory) and stable.
- Inventory for building materials is at normal levels and moving up.
- Inventory for containerboard is below normal levels (net 33% of respondents are seeing below-normal inventory) and stable. Inventory for old corrugated containers (OCC) is below normal levels (net 100% of respondents are seeing below-normal inventory) and is moving down.
- Inventory for coal is above normal levels (net 17% of respondents are seeing above-normal inventory) and moving down.
- Inventory for overall downstream products is above normal levels (net 39% of respondents are seeing above-normal inventory) and moving up.

Exhibit 4: Channel checks – downstream sectors' orderbook trend



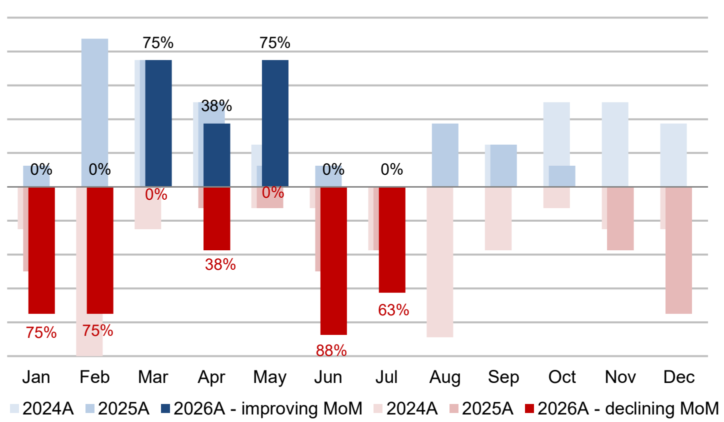
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Channel checks – basic materials orderbook trend



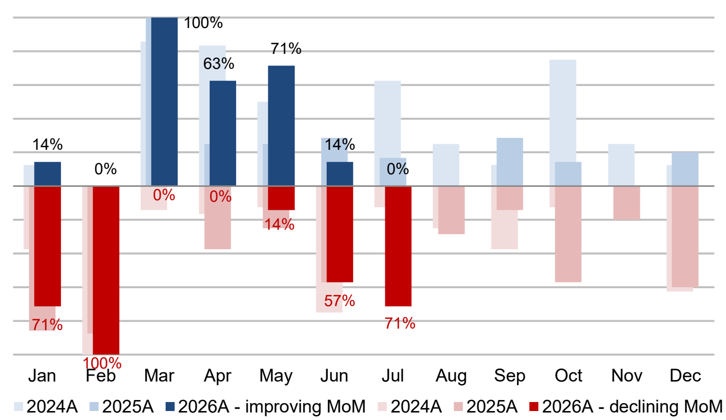
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Channel checks – steel orderbook trend



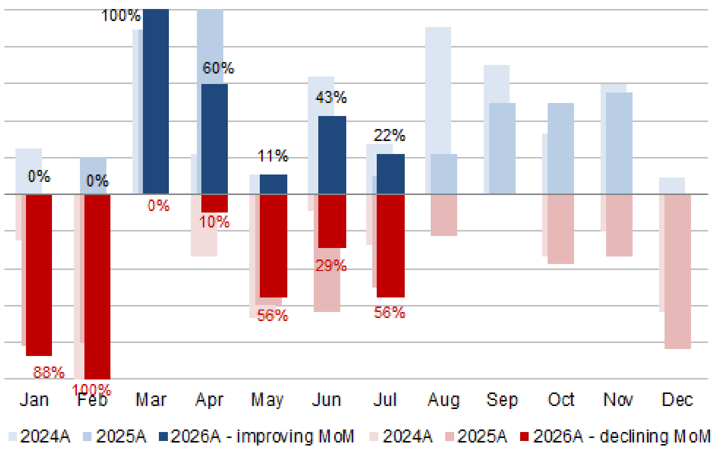
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: Channel checks – building materials orderbook trend



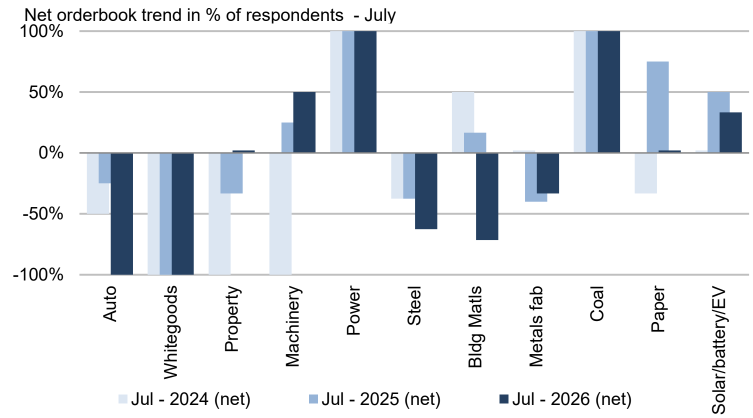
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 8: Channel checks – base metals fabrications orderbook trend



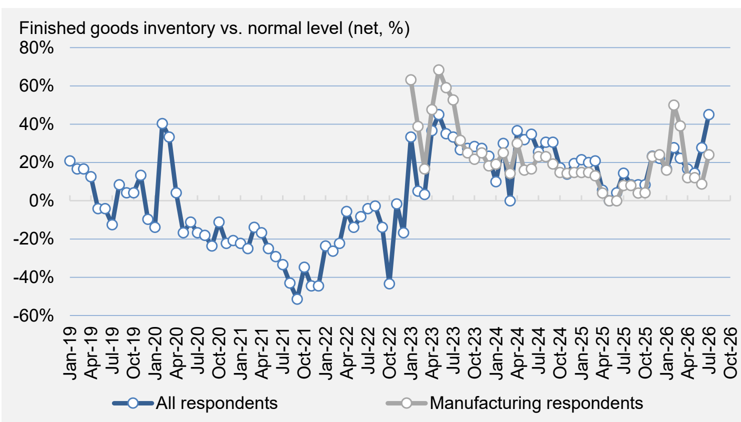
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 9: Channel checks – orderbook survey by segment



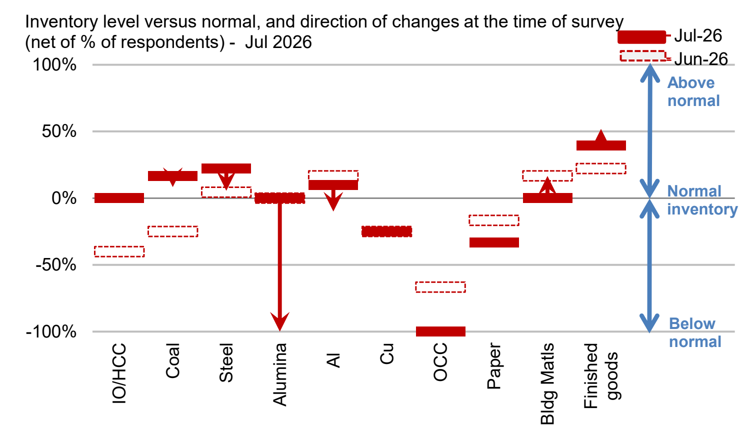
Source: Goldman Sachs Global Investment Research (proprietary survey)

Exhibit 10: Finished goods inventory moved up as of mid-July, 2026



Source: Goldman Sachs Global Investment Research (proprietary survey)

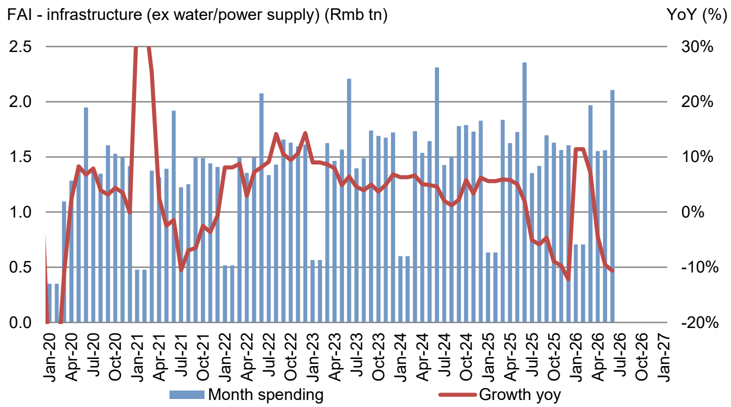
Exhibit 11: Channel checks – net inventory levels and changes



Source: Goldman Sachs Global Investment Research (proprietary survey)

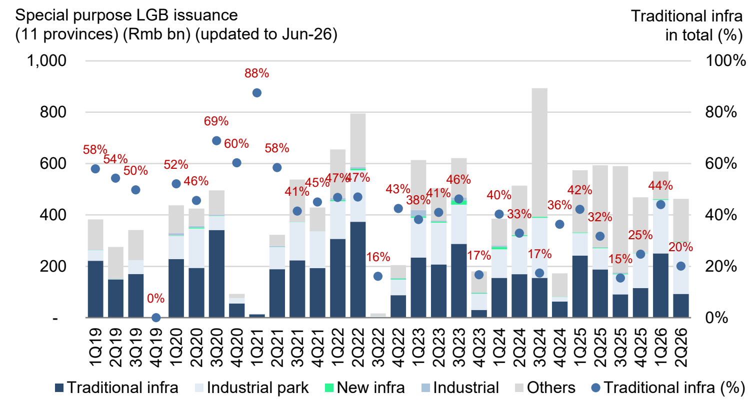
China downstream demand snapshots - infrastructure

Exhibit 12: FAI-infrastructure (ex water/power supply) declined 2.4% yoy in 6M26, implying a decline of 10.6% in June-26



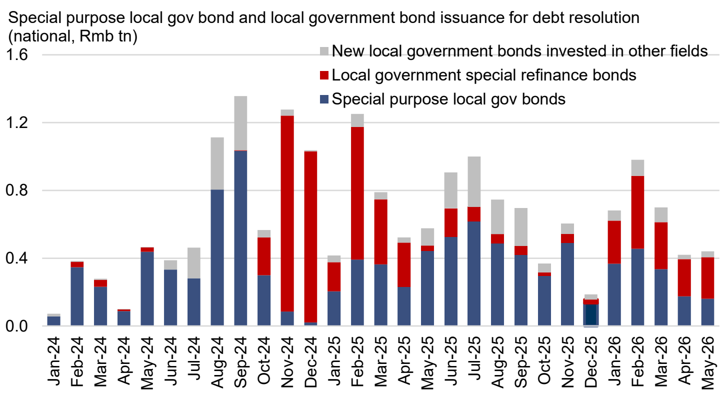
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 13: Traditional projects in total infrastructure (based on special LGB project mix of 11 provinces) largely dropped in weighting, and is lower yoy in absolute investment in 2Q26



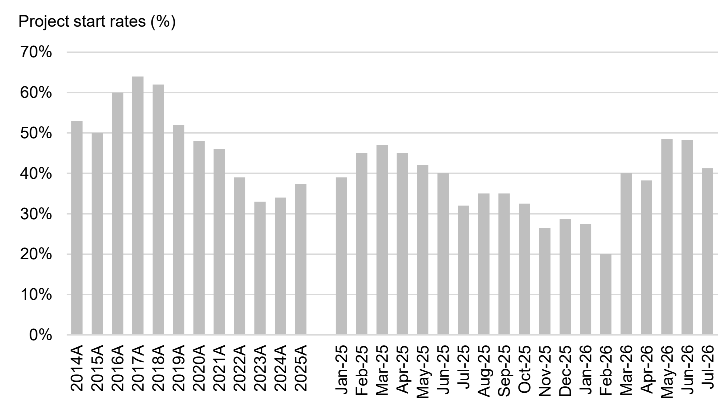
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 14: Local government refinance bond (under implicit debt resolution) and special purpose bond issuance - remained weak in 2Q26



Source: Wind, MOF, Goldman Sachs Global Investment Research.

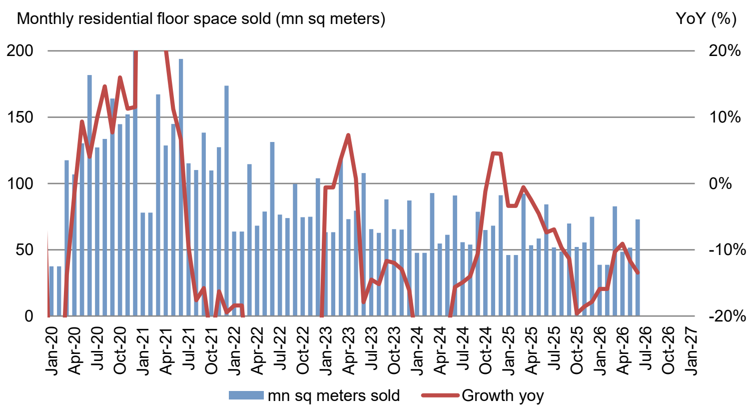
Exhibit 15: Construction project start rates weakened MoM in July 2026



Source: Company data, Goldman Sachs Global Investment Research

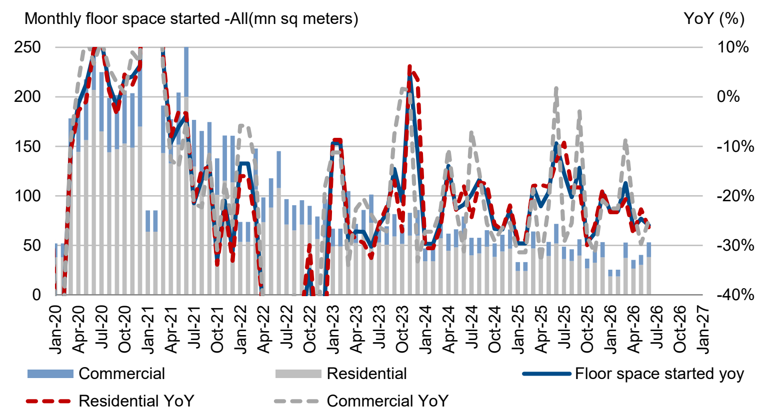
China downstream demand snapshots - property

Exhibit 16: Monthly residential floor space sold declined by 12.4% yoy in 6M26, including a decline of 13.5% yoy in June-26



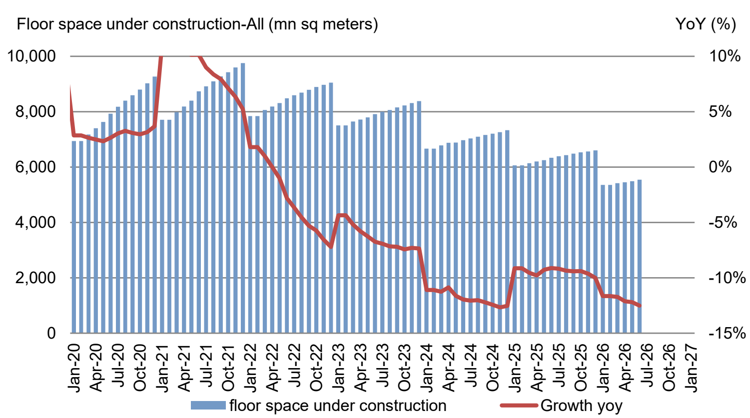
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 17: Monthly floor space starts fell by 23.4% yoy in 6M26, including a decline of 26.0% in June-26



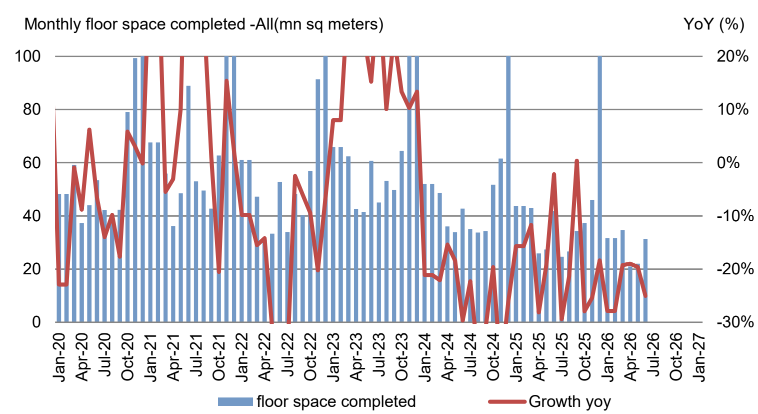
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 18: Floor space under construction declined by 12.5% yoy or 793mn sqm as of June-26



Source: CEIC, Goldman Sachs Global Investment Research

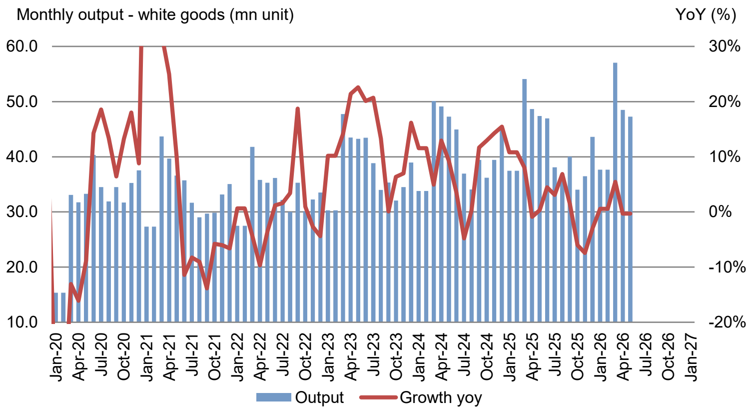
Exhibit 19: Monthly floor space completed declined by 23.7% yoy in 6M26, including a decline of 25.0% in June-26



Source: CEIC, Goldman Sachs Global Investment Research

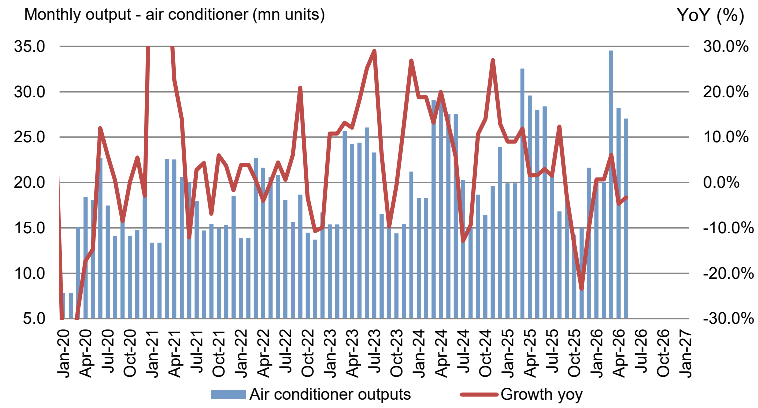
China downstream demand snapshots - traditional manufacturing

Exhibit 20: Monthly production of white goods grew by 1.4% yoy in 5M26, but declined 0.3% in May-26



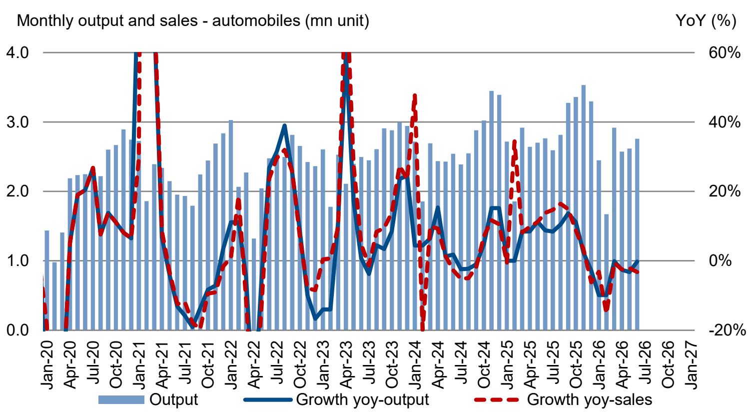
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 21: Monthly production of air conditioners remained flat yoy in 5M26, but declined 3.3% in May-26



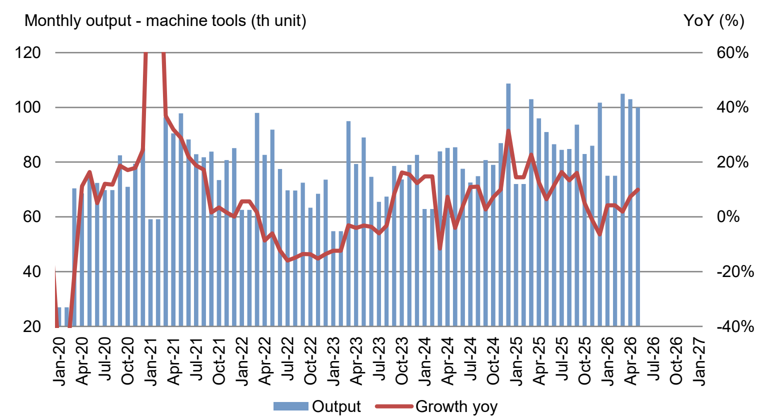
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 22: Monthly production of automobiles decreased by 4.0% yoy in 6M26, including a decline of 0.2% in June-26



Source: CEIC, Goldman Sachs Global Investment Research

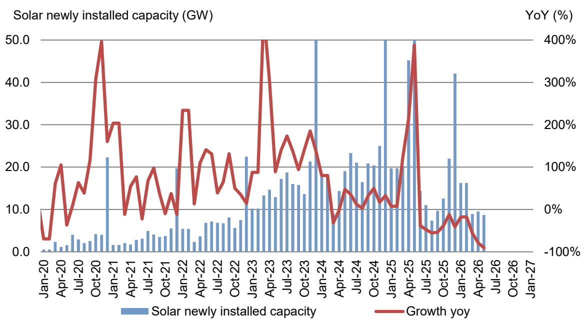
Exhibit 23: Monthly output of machine tools increased 5.5% yoy in 5M26, including an increase of 9.9% in May-26



Source: CEIC, Goldman Sachs Global Investment Research

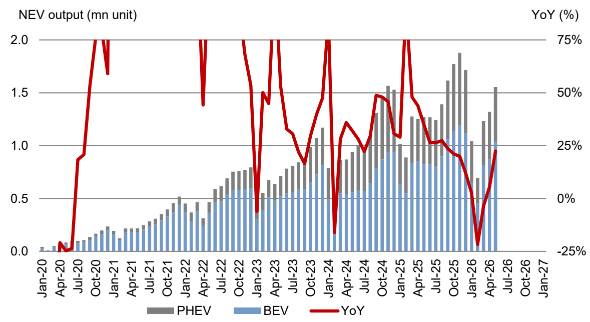
China downstream demand snapshots - advanced manufacturing

Exhibit 24: Monthly solar installation decreased 69.9% in 5M26, including a decline of 90.7% in May-26



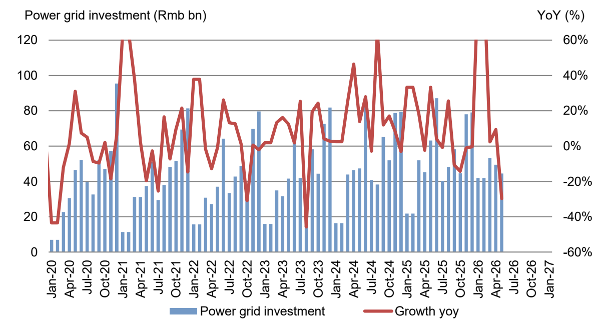
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 25: NEV output increased 2.5% in 5M26, and increased 22.4% in May-26



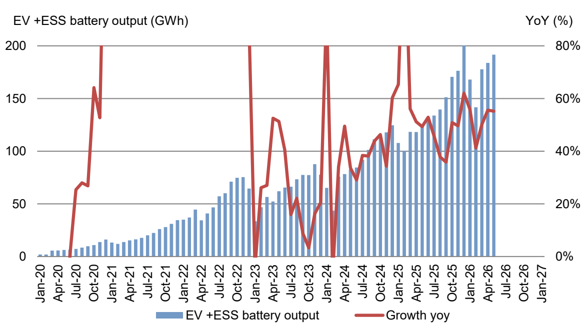
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 26: Monthly power grid investment grew 13.2% in 5M26, but decreased 29.7% in May-26



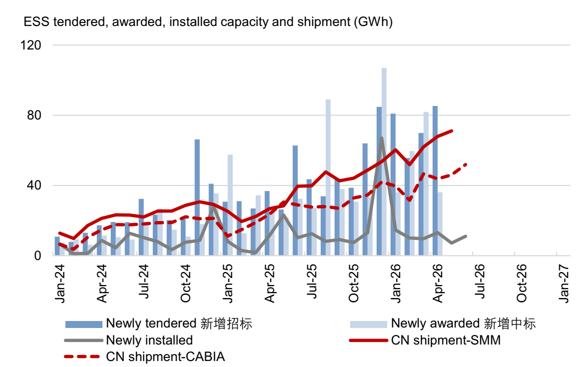
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 27: Monthly EV power battery and ESS battery output grew 51.9% in 5M26, including an increase of 55.2% in May-26



Source: CABIA, Goldman Sachs Global Investment Research

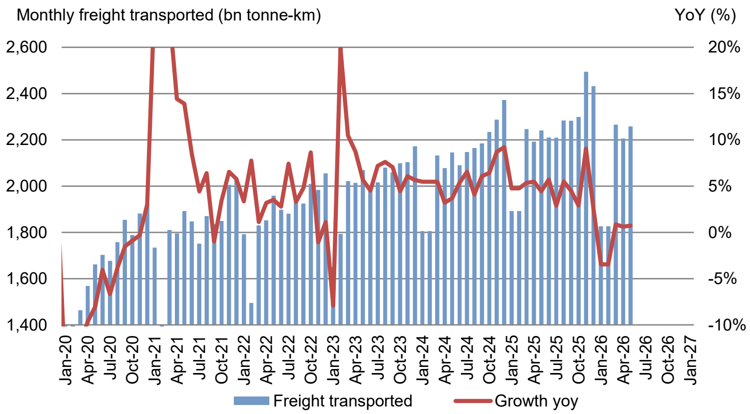
Exhibit 28: ESS newly tendered, installed capacity and shipment - China



Source: CESA, CABIA, SMM, Goldman Sachs Global Investment Research

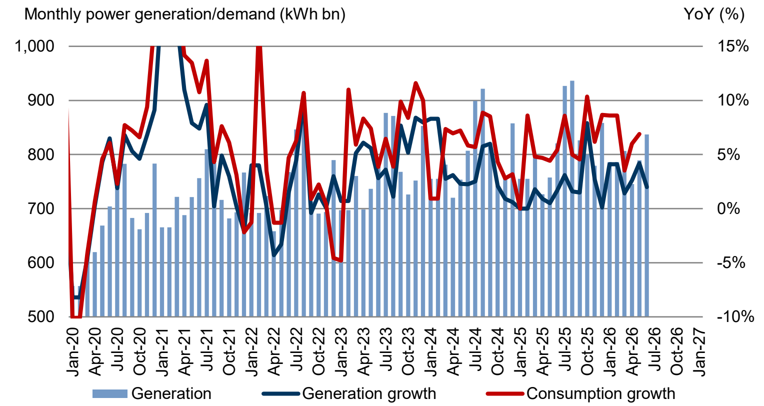
China downstream demand snapshots - power, transport, and exports

Exhibit 29: Monthly freight transported decreased by 0.8% yoy in 5M26, but increased by 0.7% yoy in May-26



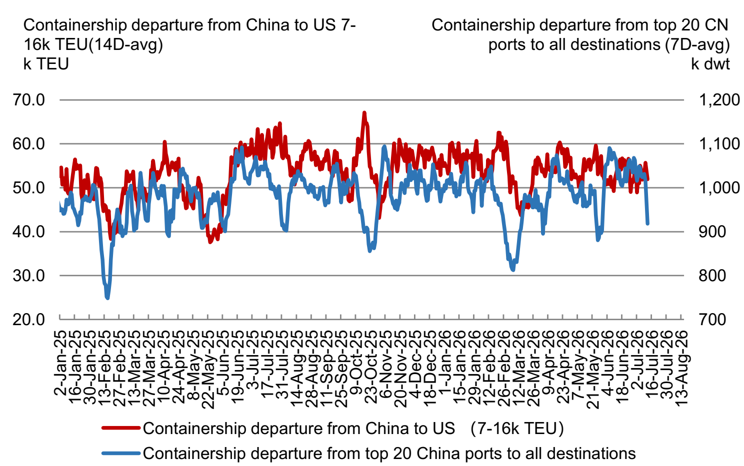
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 30: Monthly power generation increased by 3.6% yoy in 5M26, including an increase of 4.2% yoy in May-26



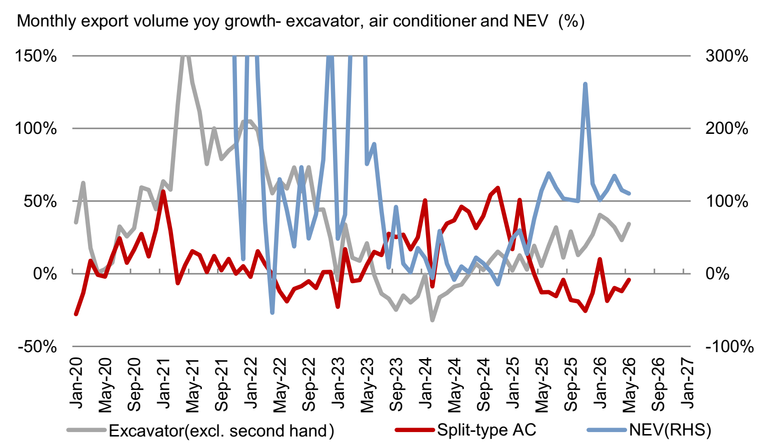
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 31: Containership departure from China to the US/all destinations



Source: Clarksons, CEIC

Exhibit 32: Monthly export volume yoy growth- excavators, air conditioner and NEV



Source: Wind, IOL and CAAM

Copper: weaker demand picture

Orderbook trend: Our channel checks with major fabricators suggest that the orderbook was down to flat MoM, mostly inline with normal seasonality. High-frequency industry fabrication data suggest current end demand for copper is running at 3.4% higher yoy for July and down 0.4% MoM.

Observation on demand drivers: Fabricators commented domestic demand further weakened in July including auto and appliance, while demand from datacenter and high-end manufacturing remains strong. Grid orderbook has been stagnant per a major domestic power cable producer. Demand from indirect finished goods export remains at an elevated level, but no further improvement seen. Downstream is reluctant to place orders when domestic copper price reaches Rmb103k/t.

Supply and inventory: Chinese copper inventory (SHFE, bonded warehouse and social inventory) decreased by 162kt MoM as of July 10th, versus 34kt decrease in the past seasonality. Domestic scrap supply remains tight. The scrap charge rate increased to 18% in June, from 13% in May. Selected cable producers mentioned high finished goods inventory, while other copper fabricated products inventory remains at a low level.

Pricing and margin trend: By July 10th, the physical premium for domestic refined copper increased to Rmb155/t. TCRC remains negative at US$-133/t, down US$13/t MoM and up by 8% MoM at US$0.11/lb if adjusted by income from sulfuric acid price in our estimate.

Exhibit 33: Monthly output and trade – Chinese copper

updated to Jun-26	May-26 mnt	May-25 mnt	YoY %	5M26 mnt	5M25 mnt	YoY %
Refined copper						
Output	1.26	1.24	2.2%	6.30	5.93	6.1%
Net imports	0.26	0.22	18.5%	0.85	1.12	-23.8%
App consumption	1.52	1.46	4.7%	7.15	7.06	1.3%
Copper in concentrate						
Output	0.15	0.16	-6.0%	0.69	0.74	-6.4%
Net imports*	0.65	0.65	0.0%	4.09	4.13	-1.0%
App consumption	0.81	0.83	-2.8%	4.12	4.21	-2.1%
Copper products						
Output	2.06	2.15	-4.3%	9.99	9.74	2.6%
Net imports	(0.04)	(0.02)	129.3%	(0.13)	(0.06)	120.3%
App consumption	2.02	2.14	-5.3%	9.86	9.68	1.9%
Copper scrap						
Net imports-rpt	0.19	0.19	3.1%	1.03	0.96	7.1%
Net imports-Cu content	0.15	0.15	3.1%	0.82	0.77	7.1%
Domestic supply	0.17	0.23	-24.8%	0.96	1.12	-14.4%

Source: CEIC, Goldman Sachs Global Investment Research

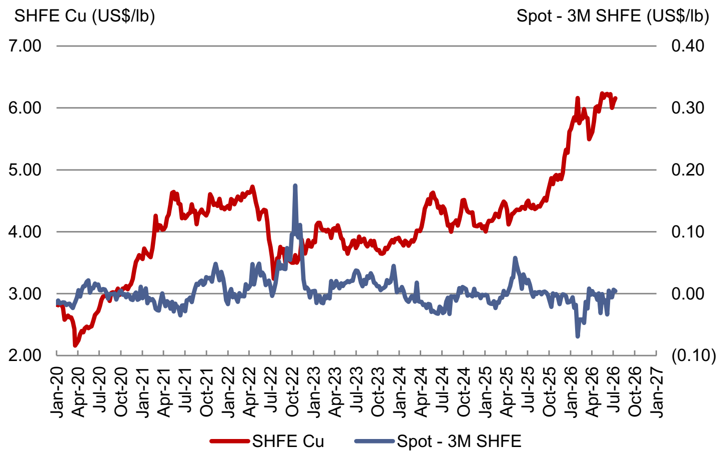
Exhibit 34: Prices and physical premium – SHFE and LME

	SHFE Rmb/t	SHFE US$/lb	Spot premium US$/lb	LME US$/lb	Spot premium US$/lb
1Q24	69,309	3.87	-0.004	3.83	-0.044
2Q24	79,591	4.41	-0.023	4.41	-0.053
3Q24	75,305	4.22	-0.009	4.19	-0.057
4Q24	75,571	4.22	0.000	4.17	-0.056
1Q25	77,418	4.27	-0.010	4.25	-0.028
2Q25	78,043	4.34	0.025	4.31	0.029
3Q25	79,543	4.46	0.004	4.45	-0.022
4Q25	88,921	5.03	-0.007	5.05	0.000
1Q26	99,984	5.79	-0.025	5.78	-0.024
2Q26	102,899	6.07	-0.009	6.04	-0.023
3Q26 QTD	103,435	6.13	0.005	6.06	-0.026
4Q26					
Jun-26	104,095	6.16	-0.010	6.12	-0.019
Jul-26	103,435	6.13	0.005	6.06	-0.026
Spot	103,920	6.16	0.004	6.09	-0.030

(Jul 10, 2026) (Rmb price includes VAT)

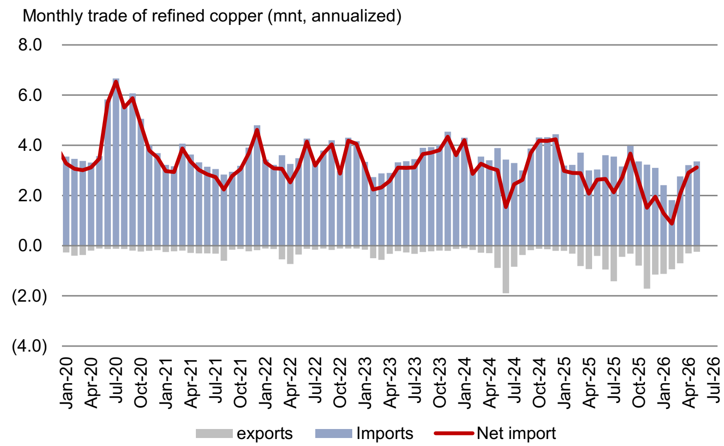
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 35: Copper physical premium



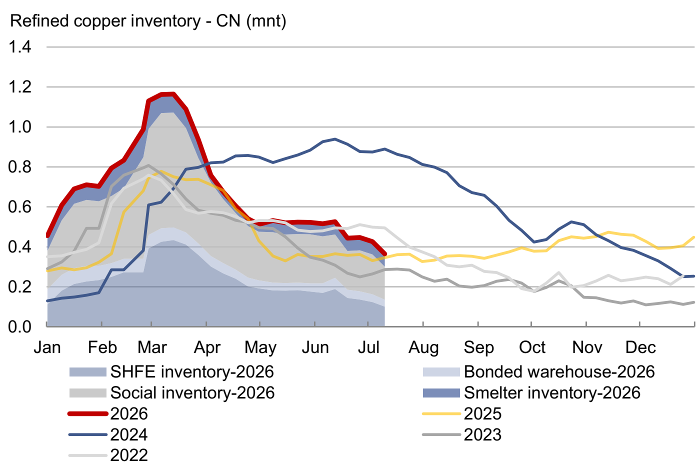
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 36: Imports/exports – Chinese refined copper



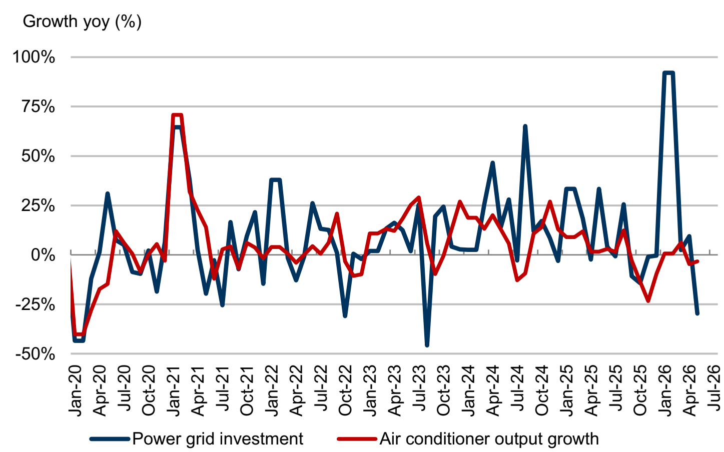
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 37: Inventory – SHFE and social inventory



Source: Wind, Goldman Sachs Global Investment Research

Exhibit 38: Key demand driver – growth of air conditioner output and power grid investment



Source: CEIC, Wind, Goldman Sachs Global Investment Research

Exhibit 39: Valuation peers – Base metals

Notes: CS = Coverage Suspended, NC = Not Covered, NR = Not Rated where estimates for NC/CS stocks are based on consensus numbers; target prices are based on a 12-month timeframe

Company	Ticker	Rating	Target	Price	ccy	Mkt cap	PE			PB			ROE			EV/EBITDA			FCF yield		Div yield			Perf.
Price as of 16-Jul-2026				Local		US$ bn	25A	26E	27E	25A	26E	27E	25A	26E	27E	25A	26E	27E	26E	27E	25A	26E	27E	YTD
Aluminum Corp. of China	2600.HK	Sell	7.50	7.87	HKD	17.2	9.2	5.6	12.0	1.6	1.3	1.3	18%	25%	11%	5.0	3.4	6.3	20%	8%	5%	7%	4%	-38%
Aluminum Corp. of China	601600.SS	Sell	7.80	8.68	CNY	22.0	11.7	7.2	15.3	2.0	1.6	1.6	18%	25%	11%	5.9	4.0	7.4	17%	6%	4%	6%	3%	-29%
China Hongqiao Group	1378.HK	Neutral	26.00	22.86	HKD	28.8	8.3	5.3	8.6	1.5	1.3	1.3	19%	26%	15%	4.6	3.4	5.3	15%	9%	9%	13%	8%	-33%
Tianshan Aluminum	002532.SZ	NC	NA	11.99	CNY	8.2	11.4	6.2	6.1	1.9	1.6	1.4	17%	27%	23%	9.3	4.3	4.3	n.a.	n.a.	2%	9%	9%	-22%
Henan Shenhuo	000933.SZ	NC	NA	23.98	CNY	8.0	13.2	6.1	6.3	2.2	1.8	1.6	17%	28%	24%	6.8	3.3	3.2	n.a.	n.a.	3%	8%	7%	-10%
Yunnan Aluminum	000807.SZ	NC	NA	25.12	CNY	12.9	14.4	6.7	6.2	2.7	2.1	1.7	20%	29%	25%	7.5	4.1	3.5	14%	14%	3%	5%	5%	-24%
Nanshan Aluminum Intl	2610.HK	NC	NA	24.86	HKD	2.0	5.2	5.2	4.5	1.2	0.8	0.7	26%	17%	16%	n.a.	n.a.	n.a.	n.a.	n.a.	2%	1%	1%	-50%
Chuangxin Industries	2788.HK	NC	NA	15.70	HKD	4.2	7.8	5.8	5.5	4.0	3.0	2.2	50%	49%	40%	n.a.	4.1	3.7	14%	16%	4%	6%	7%	-23%
Norsk Hydro	NHY.OL	Buy	116.00	85.1	NOK	17.3	16.9	8.8	10.6	1.6	1.3	1.2	7%	18%	13%	4.7	4.3	4.8	6%	8%	5%	6%	5%	7%
Alcoa Corp.	AA	NC	NA	46.85	USD	12.4	12.4	7.3	7.7	2.0	1.5	1.3	18%	22%	16%	6.7	4.1	3.5	12%	10%	1%	1%	1%	-17%
Rio Tinto Ltd.	RIO.AX	Neutral	178.90	161.0	AUD	183.1	16.8	15.4	16.3	2.9	2.6	2.4	19%	18%	15%	5.5	6.8	7.1	4%	5%	5%	4%	4%	9%
South32 Ltd.	S32.AX	Not Rated		3.90	AUD	13.2	8.2	12.1	11.7	1.4	1.3	1.2	10%	11%	11%	5.0	5.3	5.7	3%	2%	3%	3%	3%	10%
Century Aluminum	CENX.O	NC	NA	42.60	USD	4.2	17.3	4.4	3.9	n.a.	n.a.	n.a.	31%	31%	n.a.	11.0	3.0	3.3	20%	16%	n.a.	n.a.	n.a.	4%
Average global aluminum peers							**11.8**	**7.4**	**8.8**	**2.1**	**1.7**	**1.5**	**21%**	**25%**	**18%**	**6.5**	**4.2**	**4.8**	**12%**	**9%**	**4%**	**6%**	**5%**	**-17%**
Zijin Mining	2899.HK	Buy	51.00	30.86	HKD	104.7	13.7	9.0	7.8	3.8	2.9	2.3	32%	36%	32%	7.6	5.7	4.8	11%	12%	3%	4%	4%	-16%
Zijin Mining	601899.SS	Buy	49.00	29.25	CNY	114.9	15.0	9.9	8.5	4.2	3.1	2.5	32%	36%	32%	7.8	6.2	5.2	10%	11%	3%	4%	4%	-15%
MMG Ltd	1208.HK	Buy	14.00	7.63	HKD	11.8	23.2	5.8	5.6	3.0	2.0	1.5	14%	41%	30%	3.8	2.8	2.4	14%	20%	0%	0%	2%	-16%
CMOC Group	3993.HK	Buy	25.00	16.29	HKD	44.5	14.9	8.6	8.0	3.6	2.7	2.2	27%	36%	30%	4.5	5.3	5.1	5%	10%	3%	3%	4%	-19%
CMOC Group	603993.SS	Buy	26.00	18.20	CNY	57.5	19.2	11.1	10.4	4.7	3.5	2.8	27%	36%	30%	5.6	6.0	6.6	4%	8%	3%	3%	3%	-9%
Jiangxi Copper	0358.HK	Buy	45.00	32.32	HKD	14.3	13.1	6.8	6.9	1.2	1.1	1.0	9%	16%	15%	4.8	6.5	6.4	-7%	8%	5%	7%	7%	-26%
Jiangxi Copper	600362.SS	Buy	60.00	42.11	CNY	21.5	19.8	10.3	10.4	1.8	1.6	1.5	9%	16%	15%	6.1	8.7	8.5	-5%	5%	4%	5%	5%	-23%
Tongling Nonferrous	000630.SZ	NC	NA	5.79	CNY	11.5	30.5	10.3	6.5	2.1	1.9	1.7	7%	19%	26%	n.a.	n.a.	n.a.	n.a.	n.a.	1%	5%	8%	1%
Western Mining	601168.SS	NC	NA	31.65	CNY	11.2	20.7	14.2	12.8	4.0	3.3	2.8	20%	24%	23%	5.6	8.7	8.2	n.a.	n.a.	2%	2%	3%	22%
CHINF Mining	1258.HK	NC	NA	12.19	HKD	6.1	15.0	9.0	8.8	2.4	2.0	1.7	17%	23%	20%	n.a.	2.5	2.3	0%	0%	0%	1%	1%	-20%
Southern Copper	SCCO	Neutral	176.24	175.66	USD	145.3	33.5	25.3	26.5	13.2	10.4	8.6	43%	46%	35%	10.9	14.6	15.2	3%	3%	3%	2%	2%	20%
Freeport-McMoRan Inc.	FCX	Buy	74.00	58.56	USD	84.4	33.0	19.6	13.4	2.7	2.5	2.2	12%	21%	26%	6.1	6.9	4.8	5%	8%	1%	1%	1%	13%
Teck	TECK	NC	NA	55.79	USD	27.3	18.1	10.6	12.1	1.1	1.0	0.9	6%	9%	7%	7.1	4.2	4.2	6%	10%	1%	1%	1%	16%
Anglo American Plc	AAL.L	NR	NA	3,485	GBP	55.4	88.0	26.6	18.4	3.1	2.2	2.5	3%	8%	14%	9.9	7.6	5.7	0%	0%	1%	1%	2%	15%
Antofagasta Plc	ANTO.L	Buy	4,400	3,588	GBP	47.7	37.4	23.3	20.3	3.3	2.9	2.7	13%	18%	19%	5.8	7.1	6.5	2%	4%	2%	2%	2%	10%
Glencore Plc	GLEN.L	Buy	630.0	516.7	GBP	94.4	35.5	10.6	9.9	2.1	1.8	1.7	1%	18%	18%	4.5	4.3	4.2	5%	6%	2%	1%	3%	26%
Rio Tinto Ltd.	RIO.AX	Neutral	178.9	161.0	AUD	183.1	16.8	15.4	16.3	2.9	2.6	2.4	19%	18%	15%	5.5	6.8	7.1	4%	5%	5%	4%	4%	9%
Boliden	BOL.ST	Sell	486.0	513.4	SEK	15.1	15.4	13.1	11.5	0.0	0.0	0.0	13%	14%	14%	5.2	6.2	5.6	2%	6%	3%	3%	3%	-1%
Lundin Mining Corp.	LUN.TO	Buy	46.90	33.59	CAD	20.3	28.6	17.3	14.0	2.6	2.3	2.0	13%	17%	18%	5.1	7.4	5.9	4%	6%	1%	0%	0%	13%
First Quantum Minerals	FM.TO	Buy	44.00	37.39	CAD	22.2	35.2	26.0	16.9	1.9	1.8	1.6	0%	7%	10%	11.6	9.5	7.1	1%	8%	0%	0%	0%	0%
BHP Group Ltd.	BHP.AX	Buy	63.50	57.54	AUD	203.4	20.1	16.1	17.9	3.0	2.9	2.8	15%	18%	16%	5.7	6.8	7.4	5%	5%	4%	4%	4%	26%
Hudbay Minerals	HBM.TO	Buy	39.00	29.24	CAD	8.3	15.0	11.8	8.6	2.6	2.1	1.6	19%	19%	21%	3.7	4.9	3.4	6%	13%	0%	0%	0%	6%
Ero Copper	ERO	Neutral	31.00	24.52	USD	2.6	9.7	6.3	5.5	2.7	1.9	1.4	35%	35%	29%	5.5	4.0	3.1	11%	17%	0%	0%	0%	-16%
Capstone Copper	CS.TO	Neutral	13.00	12.48	CAD	6.8	21.5	16.3	13.1	1.8	1.6	1.4	10%	12%	13%	6.3	5.8	4.5	3%	8%	0%	0%	0%	-8%
Average global copper peers							**24.7**	**13.9**	**12.1**	**3.1**	**2.5**	**2.1**	**16%**	**23%**	**21%**	**6.3**	**6.5**	**5.8**	**4%**	**8%**	**2%**	**2%**	**3%**	**0%**
Zijin Gold Intl	2259.HK	NC	NA	96.5	HKD	32.9	15.1	9.5	8.5	4.0	2.9	2.3	30%	34%	30%	8.7	4.6	2.4	2%	2%	2%	0%	0%	-15%
Zhaojin Mining Industry	1818.HK	Buy	42.00	18.63	HKD	8.4	15.6	8.2	5.6	2.3	1.8	1.4	16%	25%	28%	11.5	5.7	3.6	12%	15%	1%	1%	2%	-42%
Shandong Gold Mining	600547.SS	NC	NA	23.76	CNY	16.2	25.3	11.9	11.2	3.5	2.1	1.9	14%	19%	19%	9.0	5.5	4.8	n.a.	n.a.	1%	3%	3%	-36%
Shandong Gold Mining	1787.HK	NC	NA	17.15	HKD	10.1	30.1	13.6	8.7	2.0	1.8	1.5	8%	15%	19%	10.1	5.9	4.3	n.a.	n.a.	1%	3%	4%	-49%
Chifeng Jilong Gold Mining	600988.SS	NC	NA	31.74	CNY	8.9	18.8	10.7	9.7	4.5	3.3	2.6	29%	33%	28%	8.8	4.8	4.1	n.a.	n.a.	1%	2%	2%	11%
Chifeng Jilong Gold Mining	6693.HK	NC	NA	25.50	HKD	6.2	13.0	7.4	6.7	5.6	5.4	5.4	29%	33%	28%	5.8	3.0	2.5	n.a.	n.a.	1%	2%	3%	-10%
Zhongjin Gold	600489.SS	NC	NA	19.06	CNY	13.7	18.7	8.6	7.4	3.0	2.5	2.0	17%	31%	29%	9.4	4.9	3.9	n.a.	n.a.	2%	7%	8%	-14%
Shanjin International Gold	000975.SZ	NC	NA	18.55	CNY	7.6	17.3	8.8	5.9	3.5	2.7	2.0	21%	31%	34%	10.3	5.4	3.5	n.a.	n.a.	3%	3%	5%	-21%
Hunan Gold	002155.SZ	NC	NA	20.76	CNY	4.8	21.9	13.6	11.6	4.0	3.2	2.6	20%	24%	22%	n.a.	n.a.	n.a.	n.a.	n.a.	1%	1%	1%	-2%
Wanguo Gold	3939.HK	NC	NA	9.30	HKD	5.2	30.0	13.6	8.5	6.4	5.5	3.9	35%	43%	50%	n.a.	8.9	4.9	n.a.	n.a.	n.a.	3%	4%	27%
China Gold Intl	2099.HK	NC	NA	137.3	HKD	6.9	14.8	8.6	7.7	3.5	2.4	2.0	23%	30%	28%	n.a.	n.a.	n.a.	n.a.	n.a.	0%	0%	0%	-11%
Lingbao Gold	3330.HK	NC	NA	15.24	HKD	2.7	12.6	7.8	7.2	4.0	2.7	2.0	37%	35%	28%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-19%
Agnico Eagle Mines Ltd.	AEM.TO	NC	NA	137.3	USD	68.6	16.5	10.2	9.5	2.8	2.3	2.0	18%	23%	20%	8.2	5.2	4.6	9%	10%	1%	1%	1%	-18%
AngloGold Ashanti	ANGJ.J	CS	NA	1,258	ZAR	38.7	13.7	7.8	7.3	4.8	3.7	3.0	40%	51%	45%	6.2	4.2	3.8	n.a.	n.a.	0%	0%	0%	-11%
Gold Fields	GFIJ.J	CS	NA	530.0	ZAR	28.9	11.4	5.8	5.7	3.4	2.8	2.3	37%	51%	40%	5.4	3.0	2.6	n.a.	n.a.	4%	7%	7%	-26%
Barrick Gold	B	NC	NA	34.84	USD	58.4	14.4	8.9	7.5	2.2	2.0	1.7	16%	22%	23%	7.0	3.8	3.1	11%	17%	2%	2%	2%	-21%
Newmont	NEM	Buy	111.4	90.8	USD	96.5	13.2	10.6	11.0	2.9	2.5	2.2	22%	26%	21%	5.2	6.0	5.6	8%	9%	2%	1%	1%	-10%
Evolution Mining Ltd.	EVN.AX	Neutral	11.50	10.53	AUD	15.0	21.9	13.6	15.0	4.3	3.4	3.1	20%	28%	22%	10.1	6.9	6.6	7%	4%	3%	4%	3%	-17%
Northern Star Resources	NST.AX	Buy	23.20	19.24	AUD	19.3	16.2	16.1	23.5	1.8	1.8	1.7	11%	11%	7%	5.8	7.0	7.9	-2%	1%	3%	3%	2%	-21%
KinRoss Gold	KGC	CS	NA	22.92	USD	27.4	12.5	7.6	6.9	3.2	2.5	2.0	29%	32%	28%	6.1	3.9	3.1	14%	14%	1%	1%	1%	-19%
Average global gold peers							**17.6**	**10.2**	**9.3**	**3.6**	**2.9**	**2.4**	**24%**	**30%**	**27%**	**8.0**	**5.2**	**4.2**	**8%**	**9%**	**2%**	**2%**	**3%**	**-16%**

Source: Datastream, Reuters, Goldman Sachs Global Investment Research

Aluminium/Alumina: decelerating momentum in exports, and higher output

Orderbook trend: Our checks with Al fabricators suggest orderbooks were mostly down MoM, in line with normal seasonality. We estimate domestic aluminium apparent demand (excluding semi and finished fabricated products export, inventory adjusted) was down 5% yoy for May, and flat MoM.

Observation on demand drivers: Fabricators commented on weakened orderbook from auto, appliance, construction and packaging, partly offset by mild pickups from solar module and UHV grid orders, and continued ESS demand. Semi fabricated products export in July softened MoM, and new orderbook at fabricators declined, due to a narrowing price gap between overseas and domestic. Aluminium substitution is emerging in the solar frame for the low-end solar market, per feedback.

Supply and inventory: As of mid-July, Chinese aluminum inventory (SHFE, bonded warehouse, social inventory and rods) destocked by 328kt MoM, mostly inline with past seasonality. NBS monthly output data on primary aluminum implied the annualized output at 48.4 mnt in June. Moreover, there are indications that supply from Indonesian projects may also accelerate.

Pricing and margin trend: The implied SHFE aluminium spread was at Rmb7,632/t in our estimates, 11.9% lower MoM. In alumina, unit cash profit was at negative Rmb88/t for marginal producers, on our estimates.

Exhibit 40: Monthly output and trade – aluminium and alumina

*updated to Jun-26	May-26 mnt	May-25 mnt	YoY %	5M26 mnt	5M25 mnt	YoY %
Output						
Primary Al*	3.98	3.80	4.7%	23.2	22.3	3.8%
Products/alloy	7.75	7.47	3.7%	34.5	34.5	0.2%
Net imports						
Primary Al	0.20	0.19	4.0%	1.06	0.99	6.6%
Products/alloy	(0.52)	(0.39)	32.1%	(2.11)	(1.76)	20.0%
Scrap	0.15	0.16	-4.8%	0.85	0.86	-0.9%
All imports in metals	(0.15)	(0.06)	175.0%	(0.25)	(0.03)	878.3%
App demand						
Primary Al	4.09	4.02	1.8%	20.3	19.6	3.7%
Products/alloy	7.23	7.08	2.1%	32.4	32.7	-0.8%
Total aluminium (Al equivalent)	3.74	3.77	-0.9%	19.0	18.5	2.3%
Alumina						
Output	7.35	7.31	0.5%	37.8	37.4	1.0%
Net imports	0.16	(0.14)	n.a.	0.49	(1.00)	n.a.
App consumption	7.51	7.17	4.7%	38.3	36.4	5.1%
Net imports-Bauxite	23.0	17.5	31.9%	100.7	84.9	18.5%

Source: CEIC, Goldman Sachs Global Investment Research

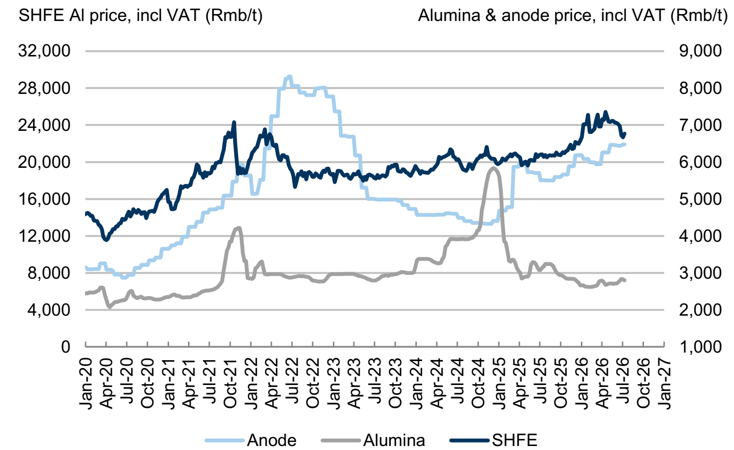
Exhibit 41: Average prices, key cost drivers, and spread – aluminium

	LME-Al US$/lb	SHFE-Al US$/lb	SHFE-Al Rmb/t	Spread Rmb/t	Alumina Rmb/t	Anode Rmb/t	Bauxite Rmb/t	C.Soda Rmb/t
1Q24	1.00	1.06	19,050	3,748	3,356	4,568	360	2,885
2Q24	1.14	1.14	20,593	4,598	3,646	4,593	368	2,838
3Q24	1.08	1.10	19,661	3,560	3,954	4,415	391	2,931
4Q24	1.17	1.14	20,501	1,978	5,292	4,363	412	3,096
1Q25	1.19	1.13	20,524	4,227	3,721	5,113	433	3,205
2Q25	1.11	1.12	20,205	4,812	3,062	5,806	397	2,993
3Q25	1.19	1.16	20,743	5,571	3,131	5,534	394	2,970
4Q25	1.29	1.22	21,608	6,633	2,820	5,913	398	2,787
1Q26	1.45	1.38	23,890	8,527	2,662	6,014	373	2,422
2Q26	1.62	1.43	24,308	8,675	2,732	6,389	358	2,318
3Q26 QTD	1.41	1.35	22,863	7,422	2,813	6,475	347	2,136
4Q26								
Jun-26	1.56	1.41	23,783	8,325	2,769	6,445	348	2,161
Jul-26	1.41	1.35	22,863	7,422	2,813	6,475	347	2,136
Spot	1.42	1.36	23,065	7,623	2,800	6,475	347	2,136

(Jul 10, 2026) (Rmb price includes VAT)

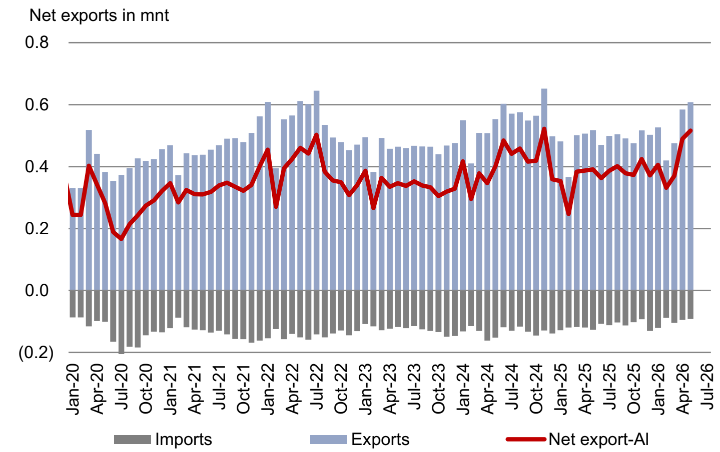
Source: Wind, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 42: SHFE Al price and costs (alumina and anode)



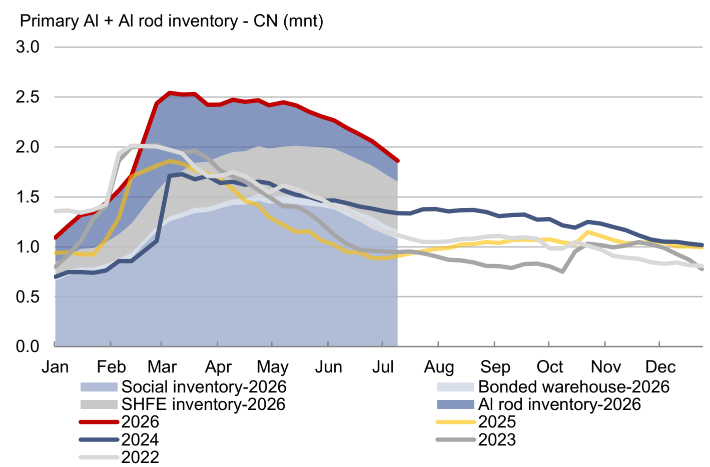
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 43: Chinese exports – Al products and alloys



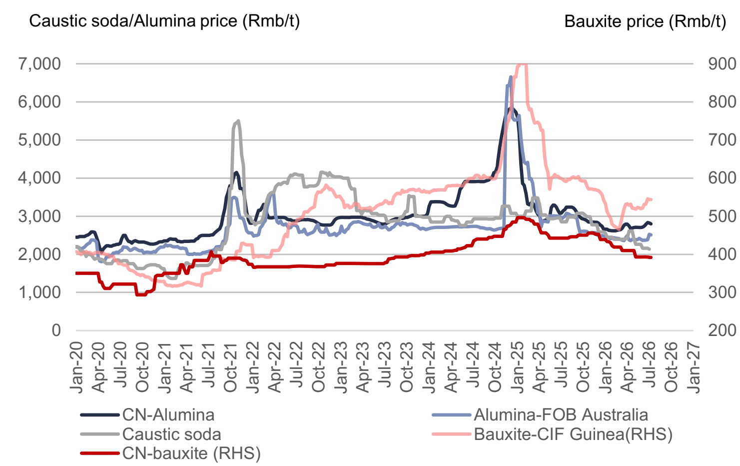
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 44: Primary Al + Al rod inventory – China



Source: Wind, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 45: Alumina price and major cost drivers (China) (bauxite and caustic soda)



Source: Wind, SMM, Goldman Sachs Global Investment Research

Lithium: deficit persists but supply acceleration is on the way

Orderbook trend: Domestic demand slightly edged up in June and is expected to further improve in July, better than normal seasonality - cathode output should increase by 6% MoM (or up by 74% yoy) in July, per SMM.

Observation on demand drivers: Battery producers' planned production sequentially improves in July and August, better than normal seasonality, driven by ESS and export orders. However, battery inventory increased amid weaker than expected EV demand in Jun-July per feedback.

Supply and inventory: We estimate China's lithium market was in deficit as of May-26 and the deficit is likely to deepen in Jun-Jul, as stagnant supply met with stronger-than-normal seasonality demand growth. We estimate lithium supply was running at an 8% deficit in China's market as of May-26, versus 0-8% deficit as of Mar-Apr. Upstream lithium supply in August is expected to increase with recovering import from Zimbabwe and restart of a Jiangxi lepidolite mine.

Pricing and margin trend: By Jul 10th, China spot lithium carbonate price decreased by 9% MoM and Guangzhou futures price decreased by 14% MoM. Both China lithium carbonate spread and Asia CIF hydroxide spread improved MoM, due to lower spodumene price.

Exhibit 46: Monthly output and trade – lithium

	Jun-26 kt	Jun-25 kt	YoY %	6M26 kt	6M25 kt	YoY %
Output						
Lithium carbonate	115.3	78.1	48%	626.3	429.6	46%
Lithium hydroxide	30.6	24.5	25%	172.4	142.2	21%
Net imports						
Lithium carbonate	33.5	17.3	94%	184.9	115.3	60%
Lithium hydroxide	0.3	(4.8)	n.a.	10.8	(19.9)	n.a.
App demand						
Lithium carbonate	148.8	95.4	56%	811.1	544.9	49%
Lithium hydroxide	30.9	19.7	57%	183.3	122.3	50%
Total Lithium in kt LCE	176.0	112.7	56%	972.4	652.5	49%
Output of downstream products						
Ternary precursor (kt)	94.0	68.4	38%	527.6	399.4	32%
Ternary cathode matls (kt)	87.1	64.9	34%	493.0	352.1	40%
LFP cathode matls (kt)	502.5	285.4	76%	2,629	1,571	67%
EV battery installation (GWh)	76.5	58.2	31%	335.6	299.7	12%
PHEV/BEV-PV (mn units)	1.5	1.2	24%	6.9	6.6	5%
PHEV/BEV-CV (mn units)	0.1	0.1	65%	0.5	0.4	35%

Source: SMM, Wind, Goldman Sachs Global Investment Research

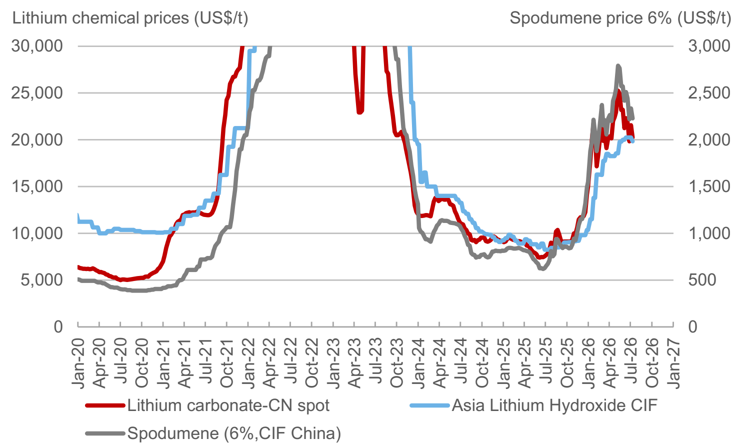
Exhibit 47: Pricing – carbonate, hydroxide, lithium metal, and spodumene

	Carbonate CN-Spot US$/t	Hydroxide CN-Spot US$/t	Hydroxide CIF-Asia US$/t	Lithium metal CN-Spot US$/t	Spodumene CIF-CN US$/t
1Q24	12,529	11,013	15,542	108,744	1,004
2Q24	12,895	11,591	13,875	108,828	1,117
3Q24	9,866	9,293	11,441	95,579	855
4Q24	9,330	8,376	9,575	87,874	786
1Q25	9,236	8,540	9,305	79,927	835
2Q25	7,954	7,896	8,859	71,737	709
3Q25	8,982	8,462	8,558	72,048	810
4Q25	11,116	10,233	9,481	79,094	1,089
1Q26	19,716	18,821	15,686	132,565	2,094
2Q26	22,347	20,607	19,345	148,105	2,484
3Q26 QTD	20,910	19,228	20,050	142,010	2,283
4Q26					
Jun-26	21,319	19,516	20,188	147,335	2,398
Jul-26	20,910	19,228	20,050	142,010	2,283
Spot	20,246	18,548	19,850	141,721	2,230

(Jul 10, 2026) (Rmb price includes VAT)

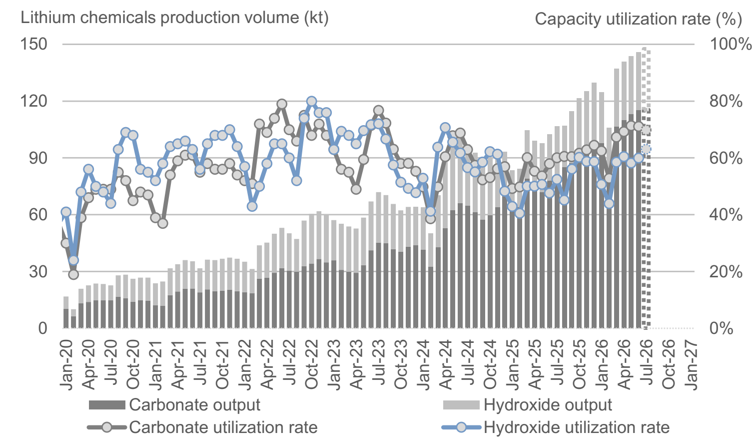
Source: SMM, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 48: Lithium market prices



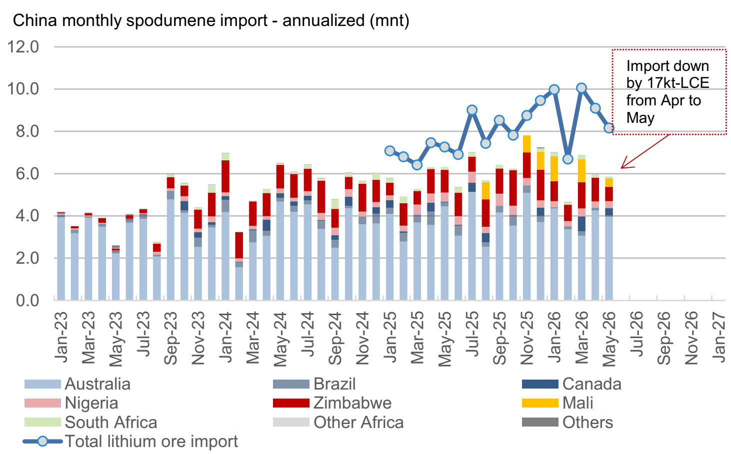
Source: Bloomberg, SMM, Wind, Goldman Sachs Global Investment Research

Exhibit 49: Lithium chemicals output – China



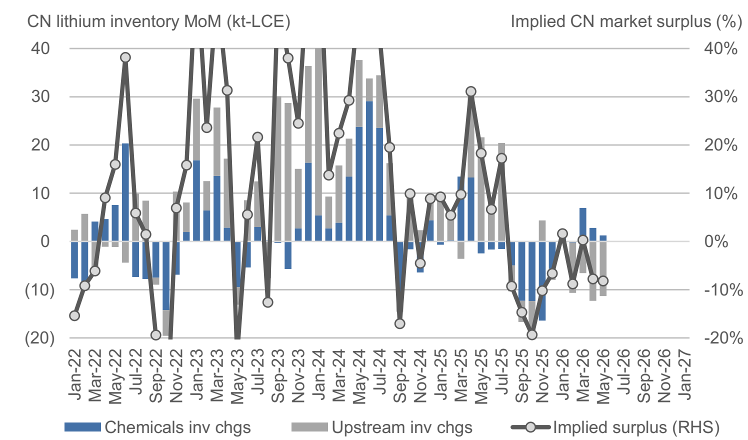
Source: SMM, Goldman Sachs Global Investment Research

Exhibit 50: China spodumene or equivalent import by country



Source: SMM, China Customs, Goldman Sachs Global Investment Research

Exhibit 51: China market monthly lithium balance



Source: SMM, China Customs, Goldman Sachs Global Investment Research

Exhibit 52: Valuation peers – Lithium

Notes: NC = Not Covered where estimates for CS/NC stocks are based on consensus numbers; target prices are based on a 12-month timeframe

Company	Ticker	Rating	Target	Price	ccy	Mkt cap	PE			PB			ROE			EV/EBITDA			FCF yield		Div yield			Perf.
Price as of 16-Jul-2026				Local		US$ bn	25A	26E	27E	25A	26E	27E	25A	26E	27E	25A	26E	27E	26E	27E	25A	26E	27E	YTD
Ganfeng-H	1772.HK	Sell	60.00	39.84	HKD	10.7	43.9	19.8	44.8	1.6	1.5	1.5	4%	8%	3%	19.0	12.2	16.8	1%	0%	1%	1%	0%	-26%
Ganfeng-A	002460.SZ	Sell	53.00	49.97	CNY	15.5	63.7	28.7	65.0	2.3	2.2	2.1	4%	8%	3%	25.3	16.0	21.9	1%	0%	0%	1%	0%	-21%
Tianqi-H	9696.HK	Sell	48.00	33.68	HKD	7.2	n.a.	11.2	21.5	0.9	1.0	1.0	1%	9%	4%	13.1	4.7	8.6	10%	10%	0%	2%	1%	-36%
Tianqi-A	002466.SZ	Sell	42.00	49.34	CNY	12.2	n.a.	19.0	36.5	1.5	1.6	1.6	1%	9%	4%	15.5	7.2	13.6	7%	6%	0%	1%	1%	-11%
Sichuan Yahua	002497.SZ	Sell	21.50	17.45	CNY	3.0	31.8	12.7	17.0	1.9	1.6	1.5	6%	13%	9%	10.2	7.0	7.6	2%	9%	0%	1%	1%	-29%
Yongxing	002756.SZ	Sell	52.00	44.26	CNY	3.5	36.1	15.6	25.9	1.9	1.7	1.7	5%	11%	6%	17.4	9.9	15.2	5%	1%	1%	2%	1%	-18%
Qinghai Salt Lake	000792.SZ	Buy	45.00	24.68	CNY	19.3	15.4	9.7	14.9	2.9	2.2	2.2	19%	23%	15%	11.0	5.4	8.1	10%	7%	0%	5%	3%	-12%
Zhejiang Huayou	603799.SS	Sell	51.00	38.82	CNY	10.9	11.6	10.1	11.1	1.5	1.3	1.2	13%	13%	11%	9.3	8.1	7.8	-1%	7%	1%	2%	1%	-43%
GEM	002340.SZ	Neutral	8.00	6.31	CNY	4.8	20.4	17.2	15.9	1.5	1.4	1.3	7%	8%	8%	11.4	10.4	9.7	-7%	2%	1%	2%	2%	-25%
Zijin Mining	2899.HK	Buy	51.00	30.86	HKD	104.7	13.7	9.0	7.8	3.8	2.9	2.3	32%	36%	32%	7.6	5.7	4.8	11%	12%	3%	4%	4%	-16%
Zijin Mining	601899.SS	Buy	49.00	29.25	CNY	114.9	15.0	9.9	8.5	4.2	3.1	2.5	32%	36%	32%	7.8	6.2	5.2	10%	11%	3%	4%	4%	-15%
Youngy	002192.SZ	NC	NA	62.30	CNY	2.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	20%
SZ Chengxin Lithium	002240.SZ	NC	NA	28.88	CNY	3.9	n.a.	16.7	19.3	2.6	2.2	1.9	-8%	14%	13%	n.a.	5.8	5.4	n.a.	n.a.	n.a.	2%	2%	-12%
Nanjing Hanrui	300618.SZ	NC	NA	31.97	CNY	1.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-29%
Regional peers							**28.0**	**14.9**	**24.0**	**2.2**	**1.9**	**1.7**	**10%**	**16%**	**12%**	**13.4**	**8.2**	**10.4**	**5%**	**6%**	**1%**	**2%**	**2%**	**-20%**
Albemarle Corp.	ALB	NC	NA	119.46	USD	14.1	n.a.	9.6	9.5	1.9	1.4	1.3	-1%	16%	16%	14.3	5.2	4.8	7%	9%	1%	1%	1%	-17%
SQM	SQM	Neutral	82.00	66.33	USD	18.9	32.2	10.8	10.5	3.3	3.0	2.6	10%	28%	25%	11.2	6.0	5.8	7%	7%	0%	5%	5%	-5%
Lithium Argentina	LAR.TO	NC	NA	11.35	CAD	1.3	n.a.	n.a.	90.1	2.2	2.4	2.4	-7%	-10%	2%	n.a.	n.a.	n.a.	-2%	0%	0%	0%	0%	11%
Pilbara Minerals	PLS.AX	Sell	4.40	4.33	AUD	9.8	n.a.	22.6	14.5	3.8	3.2	2.9	-2%	14%	20%	69.7	11.6	7.8	5%	1%	0%	1%	2%	0%
Lithium Australia	LIT.AX	NC	NA	0.01	AUD	0.0	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-27%
Mineral Resources	MIN.AX	Sell	58.00	56.78	AUD	7.8	n.a.	15.1	13.4	3.5	2.2	2.0	-26%	25%	16%	13.5	6.6	5.7	5%	10%	0%	0%	4%	2%
Core Lithium	CXO.AX	Neutral	0.22	0.24	AUD	0.5	n.a.	n.a.	25.9	2.2	1.5	1.4	-10%	-2%	6%	n.a.	n.a.	9.5	-4%	-11%	0%	0%	0%	-13%
IGO Ltd.	IGO.AX	Neutral	8.30	6.65	AUD	3.5	n.a.	29.8	12.5	2.4	2.2	1.9	-8%	7%	16%	n.a.	14.4	11.2	2%	10%	0%	1%	3%	-19%
Liontown	LTR.AX	Neutral	1.80	1.33	AUD	3.0	n.a.	154.3	14.9	5.6	3.2	2.5	-24%	2%	17%	44.0	17.7	6.8	1%	8%	0%	0%	0%	-18%
Average global peers							**32.2**	**40.4**	**23.9**	**3.1**	**2.4**	**2.1**	**-9%**	**10%**	**15%**	**30.5**	**10.2**	**7.4**	**3%**	**4%**	**0%**	**1%**	**2%**	**-9%**

Source: Datastream, Reuters, Goldman Sachs Global Investment Research

Steel: further weakening in demand and supply response

Orderbook trend: The forward orderbook trend of most steel mills declined MoM in July, and saw weaker than normal seasonality. High-frequency weekly data suggest steel demand declined by 10.5% yoy for construction steel and 0.1% yoy for flat steel for the second week of July.

Observation on demand drivers: Steel mills commented on further MoM weakening in demand from auto, appliances and construction. Export remained at an elevated level, but with uncertainty ahead given the ongoing certification process with the EU carbon tax. Most steel mills currently have orderbook on hand ranging from 0.5 months to 1.0 month, weaker than prior months at 1.0-1.5months.

Supply and inventory: More than half of the mills in the survey plan to reduce production by 5-10% in July due to weaker profitability and maintenance. Finished steel product inventory at mills was 4.5mnt as of July 10th, up 6% MoM.

Pricing and margin trend: Unit gross profit was Rmb40-170/t for domestic sales, weakened versus Rmb80-200/t in June. Profit for exports was Rmb110-230/t, vs Rmb110/t in the prior month, per mills' comments. Industry pricing and margin trend further softened MoM.

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Exhibit 53: China steel sector – monthly output and trade

updated to May-26	Jun-26 mnt	Jun-25 mnt	YoY %	6M26 mnt	6M25 mnt	YoY %
Output						
Output - pig iron	72.0	72.6	-0.9%	427	439	-2.8%
Output - crude steel	83.7	83.3	0.4%	500	515	-3.0%
Output - finished steel	126.6	126.6	0.0%	719	725	-0.9%
Demand						
App demand - crude steel	72.0	72.8	-1.1%	441	456	-3.2%
App demand - finished steel	116.7	117.4	-0.6%	667	670	-0.5%
App demand -Wire/bars*	24.2	27.2	-10.8%	118	132	-10.9%
App demand - flat(est)*	52.0	52.6	-1.1%	237	233	1.7%
Trade						
Net export - finished steel	9.9	9.2	7.6%	52.2	55.1	-5.3%
Import	0.4	0.5	-12.8%	2.7	3.0	-11.9%
Export	10.3	9.7	6.6%	54.9	58.1	-5.6%
Export - flat*	6.8	7.1	-3.9%	29.4	33.9	-13.3%
Export - long*	3.5	3.5	1.2%	15.2	14.5	4.2%
Export - semi/slab*	1.8	1.4	32%	6.8	4.7	43%

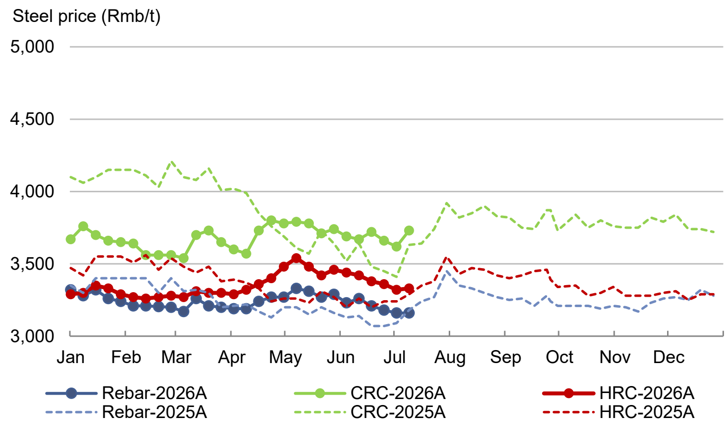
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 54: China steel sector – quarterly average steel price and spread

w VAT	HRC Rmb/t	CRC Rmb/t	Rebar Rmb/t	HB-Slab Rmb/t	Spread-rebar Rmb/t	Spread-HRC Rmb/t
1Q24	4,021	4,701	3,807	3,534	841	1,030
2Q24	3,847	4,280	3,601	3,436	924	1,141
3Q24	3,391	3,787	3,296	3,071	867	951
4Q24	3,597	4,059	3,483	3,114	1,031	1,132
1Q25	3,477	4,097	3,327	3,055	999	1,131
2Q25	3,263	3,644	3,147	2,943	990	1,092
3Q25	3,414	3,790	3,275	3,022	1,040	1,163
4Q25	3,296	3,775	3,233	2,957	891	946
1Q26	3,292	3,643	3,234	2,940	955	1,007
2Q26	3,415	3,712	3,251	3,018	871	1,016
3Q26 QTD	3,328	3,703	3,160	2,985	777	925
4Q26						
Jun-26	3,400	3,685	3,220	3,005	828	987
Jul-26	3,325	3,675	3,160	2,980	774	920
Spot	3,330	3,730	3,160	2,990	780	930

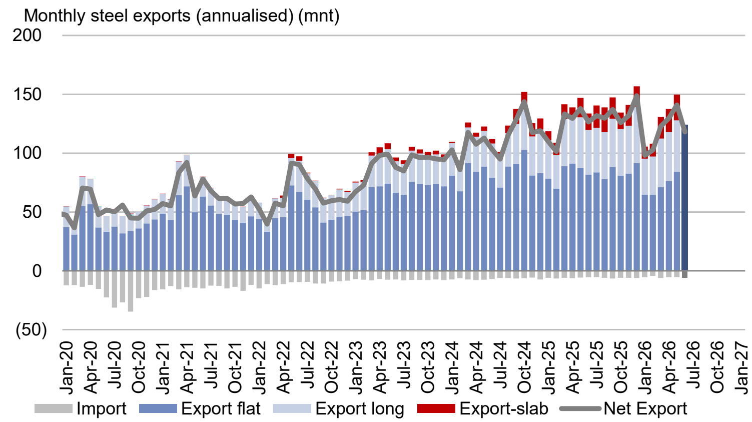
Source: Mysteel, Goldman Sachs Global Investment Research

Exhibit 55: Steel prices – China



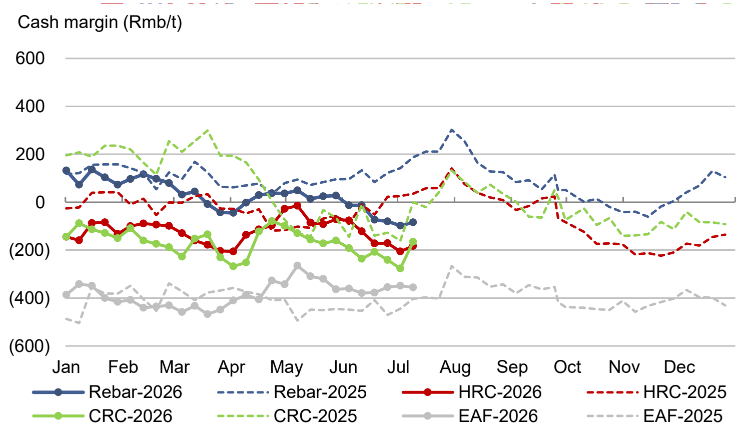
Source: Wind, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 56: Monthly steel trade – China



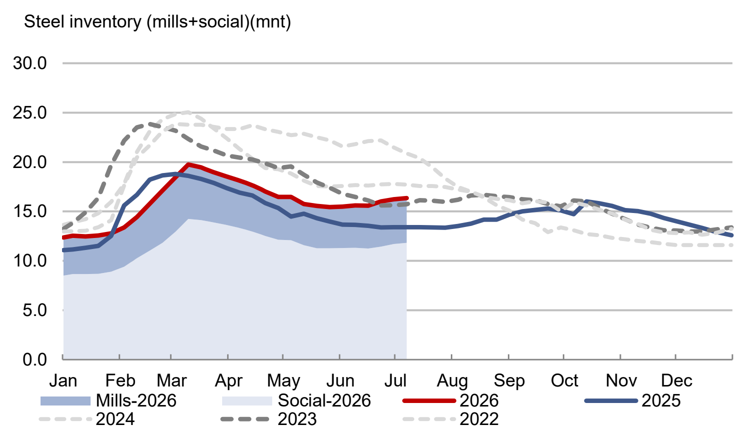
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 57: Unit cash margin (estimated) - China



Source: CEIC, Mysteel, Wind, Goldman Sachs Global Investment Research

Exhibit 58: Steel inventory – social inventory and mills update



Source: Wind, Goldman Sachs Global Investment Research

Steel-making raw materials: marginal easing on met coal

Demand and market balance: The daily discharge rate of iron ore at ports was at 3.42mnt/day as of early-July. Daily production of pig iron was 2.4mnt/day, up 0.6% yoy, and 0.1% higher MoM, for the week of July 10th. Steel mills commented on the surplus market for IO, and mild easing in coke and met coal supply. The trend in domestic clean coal prices (PCI) quoted by a major coal producer was mixed MoM.

Inventory at mills: Both IO and met coal inventory remained at low levels in most steel mills, or normal from the mills' perspective.

Traders' perspective: Transaction volume at traders was down to flat MoM. Traders commented on the enhanced impact of CMRG on the IO market, through wider collaboration with domestic mills. Simandou shipment saw small decline due to raining season, but is on track for its full year target. Price expectation remains at US$90-105/t per traders' comments.

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Exhibit 59: Monthly output and trade – IO and met coal

	May-26 mnt	May-25 mnt	YoY %	5M26 mnt	5M25 mnt	YoY %
Output						
Output - IO	74.2	86.7	-14.5%	397	412	-3.5%
Hebei	30.5	31.1	-1.8%	182	186	-1.8%
Others	43.7	55.7	-21.6%	215	226	-4.9%
Output - met coal	37.5	40.7	-7.8%	192	197	-2.7%
Trade						
Net import - IO	97.7	98.1	-0.4%	516	487	6.1%
Lump	18.0	19.0	-5.3%	96	90	6.3%
Pellets	1.39	1.94	-28.5%	8.1	11.6	-30.6%
Fines	14.3	12.7	12.5%	76	64	18.2%
Net import - scrap	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net import - met coal	11.0	7.3	50.4%	54.2	43.2	25.5%
Demand						
App demand-IO	109	111	-2.0%	575	547	5.0%
Import	98	98	-0.4%	516	487	6.1%
Domestic	11	13	-14.5%	58	60	-3.5%
Implied demand (from pig iron)	116	117	-0.9%	688	708	-2.8%

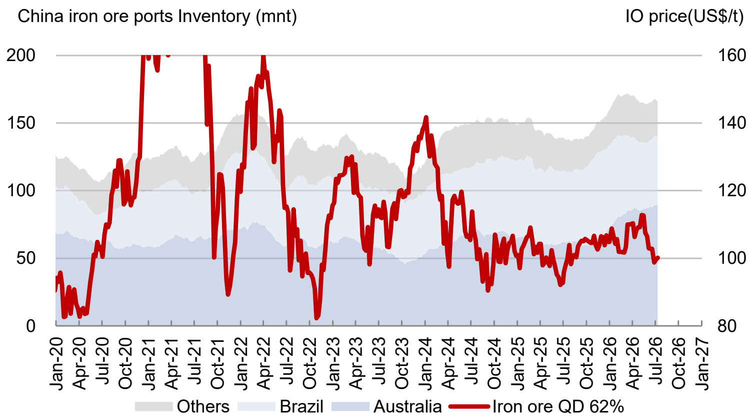
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 60: Pricing – iron ore, met coal and scrap

	Iron ore pricing (China)					HCC pricing		Scrap
	HB66% US$/t	QD58% US$/t	QD62% US$/t	QD65% US$/t	Lump US$/t	HB US$/t	AU-FOB US$/t	SH US$/t
1Q24	139	109	123	128	134	281	319	348
2Q24	126	96	112	121	120	241	243	336
3Q24	124	83	100	111	114	225	215	311
4Q24	119	90	103	111	112	213	203	307
1Q25	117	85	104	110	111	175	187	292
2Q25	113	79	98	103	107	159	183	288
3Q25	112	81	99	106	111	159	182	290
4Q25	122	85	103	111	114	180	197	293
1Q26	123	89	105	114	113	187	233	304
2Q26	127	87	107	118	120	218	237	311
3Q26 QTD	127	80	100	112	116	249	242	308
4Q26								
Jun-26	127	83	101	113	118	241	242	315
Jul-26	127	80	100	112	116	249	242	308
Spot	127	80	100	113	117	246	242	306

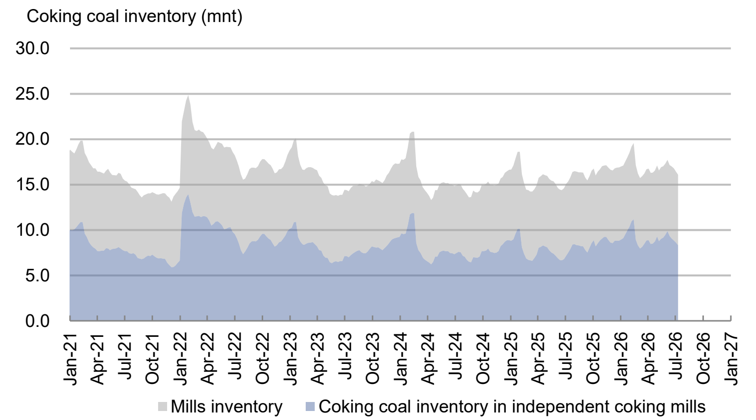
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 61: Iron ore ports pricing and inventory – China



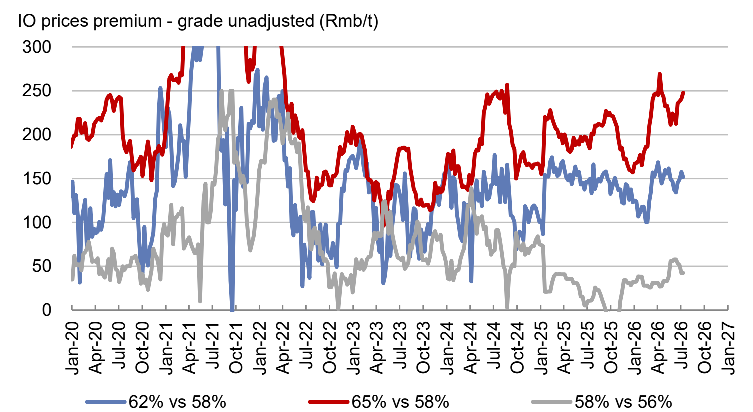
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 62: Met coal inventory – China



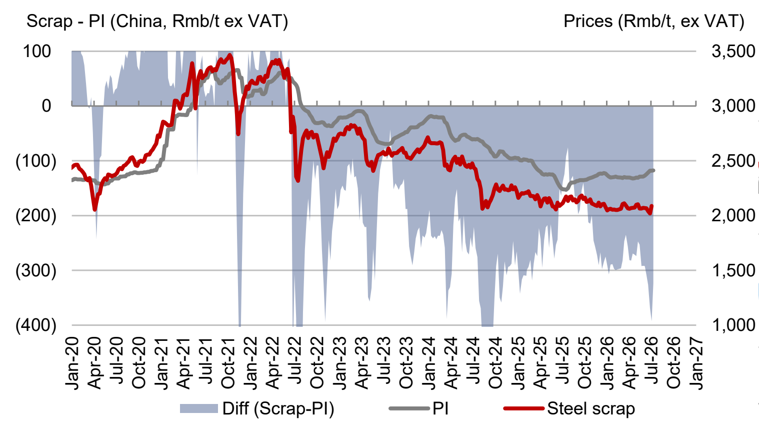
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 63: Iron ore pricing premium – QD65%, 62% versus 58%



Source: Wind, Goldman Sachs Global Investment Research

Exhibit 64: China average scrap price versus PI



Source: Wind, CEIC, CCTD, Goldman Sachs Global Investment Research

Exhibit 65: Valuation peers – Steel

Notes: CS = Coverage Suspended, NR = Not Rated, NC = Not Covered where estimates for CS/NC stocks are based on consensus numbers; target prices are based on a 12-month timeframe

Company	Ticker	Rating	Target	Price	ccy	Mkt cap	PE			PB			ROE			EV/EBITDA			FCF yield		Div yield			Perf.
Price as of 16-Jul-2026				Local		US$ bn	25A	26E	27E	25A	26E	27E	25A	26E	27E	25A	26E	27E	26E	27E	25A	26E	27E	YTD
Maanshan Iron & Steel	0323.HK	Neutral	2.20	1.65	HKD	1.6	n.a.	36.7	11.2	0.5	0.5	0.5	-1%	1%	4%	7.9	6.6	5.0	0%	8%	0%	1%	4%	-37%
Angang Steel	0347.HK	Sell	1.15	1.16	HKD	1.4	n.a.	n.a.	n.a.	0.2	0.2	0.2	-9%	-12%	-4%	n.a.	n.a.	10.2	-45%	-1%	0%	0%	0%	-41%
Fosun International	0656.HK	Neutral	5.10	4.29	HKD	4.7	21.5	10.0	7.5	0.3	0.3	0.3	1%	3%	3%	22.9	20.4	18.6	0%	1%	1%	2%	3%	-2%
Chongqing	1053.HK	NC	NA	0.88	HKD	1.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-26%
Shoucheng Holdings	0697.HK	NC	NA	1.60	HKD	1.6	39.0	20.0	16.8	1.2	1.3	1.2	3%	7%	9%	n.a.	n.a.	n.a.	n.a.	n.a.	2%	4%	4%	-25%
China Oriental	0581.HK	NC	NA	1.07	HKD	0.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-19%
Average HK steel peers							**30.3**	**22.2**	**11.8**	**0.5**	**0.6**	**0.5**	**-1%**	**0%**	**3%**	**15.4**	**13.5**	**11.2**	**-15%**	**3%**	**1%**	**2%**	**3%**	**-25%**
Angang Steel	000898.SZ	Sell	1.65	1.96	CNY	2.7	n.a.	n.a.	n.a.	0.4	0.5	0.5	-9%	-12%	-4%	n.a.	n.a.	13.6	-24%	-1%	0%	0%	0%	-23%
Baoshan Iron & Steel	600019.SS	Neutral	6.70	5.68	CNY	18.6	11.7	12.4	8.8	0.6	0.6	0.6	5%	5%	6%	5.8	5.0	4.1	6%	11%	4%	5%	7%	-24%
Maanshan Iron & Steel	600808.SS	Sell	2.40	2.49	CNY	2.8	n.a.	64.1	19.6	0.8	0.8	0.8	-1%	1%	4%	10.5	8.3	6.3	0%	6%	0%	1%	3%	-41%
Xinxing Ductile	000778.SZ	NC	NA	3.64	CNY	2.1	15.2	13.0	11.4	0.5	0.5	0.5	4%	4%	4%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-13%
Fuxing	000926.SZ	NC	NA	2.00	CNY	0.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-11%
Valin	000932.SZ	NC	NA	3.62	CNY	3.6	9.6	7.0	6.1	0.4	0.4	0.4	5%	7%	7%	n.a.	n.a.	n.a.	n.a.	n.a.	4%	5%	6%	-36%
Citic Pacific Special Steel	000708.SZ	NC	NA	13.39	CNY	10.0	11.6	9.9	8.6	1.6	1.4	1.3	14%	14%	14%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-18%
Shanxi Taigang	000825.SZ	NC	NA	3.46	CNY	2.9	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-28%
Xining Special	600117.SS	NC	NA	2.22	CNY	1.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-22%
Shandong steel	600022.SS	NC	NA	1.32	CNY	2.1	n.a.	13.2	7.8	0.7	0.7	0.7	n.a.	4%	6%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-13%
Hangzhou steel	600126.SS	NC	NA	5.66	CNY	2.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-31%
Nanjing steel	600282.SS	NC	NA	4.74	CNY	4.3	10.2	9.9	8.9	1.0	1.0	0.9	10%	10%	10%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	7%	7%	-10%
Xinjiang Bayi	600581.SS	NC	NA	2.28	CNY	0.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-32%
Average China steel peers							**11.7**	**18.5**	**10.2**	**0.8**	**0.7**	**0.7**	**4%**	**4%**	**6%**	**8.2**	**6.6**	**8.0**	**-6%**	**5%**	**2%**	**3%**	**5%**	**-23%**
BlueScope Steel	BSL.AX	NR	NA	31.71	AUD	10.5	33.1	15.5	13.0	1.3	1.3	1.3	1%	8%	10%	7.0	7.7	6.4	0%	7%	3%	7%	5%	31%
Voestalpine	VOES.VI	CS	NA	45.28	EUR	9.3	18.6	12.3	9.1	1.0	1.0	0.9	6%	8%	10%	1.4	0.9	0.6	2%	6%	2%	2%	3%	18%
Outokumpu	OUT1V.HE	CS	NA	5.56	EUR	3.0	n.a.	22.7	11.1	0.8	0.8	0.7	-4%	3%	7%	17.2	7.1	5.1	1%	6%	5%	3%	5%	20%
Salzgitter	SZGG.DE	CS	NA	53.45	EUR	3.7	n.a.	12.1	7.9	0.7	0.6	0.6	-1%	5%	8%	8.8	6.6	5.2	-6%	-8%	0%	0%	1%	19%
Nippon Steel & Sumitomo Metal	5401.T	CS	NA	585.6	JPY	19.3	n.a.	10.8	8.4	0.6	0.6	0.5	0%	5%	7%	7.8	6.2	5.5	n.a.	n.a.	4%	4%	4%	-9%
Kobe Steel	5406.T	CS	NA	1,934	JPY	4.7	8.1	7.7	7.6	0.6	0.6	0.5	8%	8%	8%	5.4	4.8	4.4	n.a.	n.a.	4%	4%	4%	-7%
JFE Holdings	5411.T	CS	NA	1,698	JPY	6.7	15.4	8.8	7.7	0.4	0.4	0.4	3%	5%	5%	7.4	5.8	5.8	-21%	-8%	5%	5%	5%	-15%
Tokyo Steel Manufacturing	5423.T	CS	NA	1,748	JPY	1.2	15.5	44.6	20.4	0.8	0.8	0.8	5%	3%	4%	7.7	n.a.	n.a.	-12%	-2%	3%	3%	3%	18%
Daido Steel	5471.T	CS	NA	2,293	JPY	3.1	14.2	14.2	12.9	1.0	0.9	0.9	7%	7%	7%	8.4	8.5	7.4	-8%	6%	2%	2%	3%	43%
ArcelorMittal SA	MT.AS	Neutral	46.00	57.94	EUR	50.9	17.2	15.0	9.7	0.9	0.9	0.8	6%	6%	9%	5.1	7.4	5.5	1%	5%	2%	1%	1%	45%
Acerinox	ACX.MC	CS	NA	16.41	EUR	4.7	n.a.	18.6	10.9	2.0	1.8	2.0	n.a.	10%	16%	11.4	9.1	6.8	3%	8%	4%	4%	5%	26%
JSW Steel	JSTL.BO	Buy	1,500	1,221	INR	30.6	84.2	13.2	23.0	3.6	2.8	2.5	4%	25%	12%	16.2	11.1	9.8	3%	5%	1%	0%	1%	3%
Tata Steel	TISC.BO	Neutral	218.0	185.5	INR	24.0	67.7	22.4	12.8	2.5	2.2	2.0	4%	11%	17%	12.5	8.7	7.2	9%	6%	2%	2%	3%	1%
Commercial Metals Co.	CMC	Buy	77.00	66.40	USD	7.4	21.1	9.8	8.5	1.8	1.6	1.3	2%	15%	17%	7.5	7.4	6.0	7%	13%	1%	1%	1%	-8%
Nucor Corp.	NUE	Buy	275.0	235.7	USD	54.0	30.2	14.3	13.1	2.6	2.3	2.1	8%	17%	16%	8.9	8.3	7.2	5%	7%	2%	1%	1%	39%
Steel Dynamics Inc.	STLD	NR	NA	235.0	USD	34.1	29.4	14.2	12.2	3.9	3.3	2.6	13%	24%	23%	11.0	9.3	7.5	5%	9%	1%	1%	1%	33%
Reliance Inc.	RS	Neutral	379.0	396.0	USD	20.6	27.8	19.6	18.9	2.9	2.7	2.6	10%	14%	14%	12.7	12.5	11.8	5%	6%	2%	1%	1%	34%
SSAB	SSABa.ST	NC	NA	100.55	SEK	10.4	20.4	13.5	11.1	1.5	1.4	1.3	7%	10%	12%	8.8	6.8	6.4	-3%	-7%	2%	3%	3%	36%
Average global steel peers							**28.8**	**16.1**	**12.1**	**1.6**	**1.4**	**1.3**	**5%**	**10%**	**11%**	**9.2**	**7.5**	**6.4**	**-1%**	**3%**	**2%**	**3%**	**3%**	**17%**
BHP Group Ltd.	BHP.AX	Buy	63.50	57.54	AUD	203.4	20.1	16.1	17.9	3.0	2.9	2.8	15%	18%	16%	5.7	6.8	7.4	5%	5%	4%	4%	4%	26%
Rio Tinto Ltd.	RIO.AX	Neutral	178.90	160.95	AUD	183.1	16.8	15.4	16.3	2.9	2.6	2.4	19%	18%	15%	5.5	6.8	7.1	4%	5%	5%	4%	4%	9%
FMG	FMG.AX	Sell	17.00	18.87	AUD	41.2	12.1	10.7	16.3	2.0	1.9	1.9	17%	18%	12%	4.6	4.7	6.5	7%	2%	6%	6%	4%	-15%
Vale	VALE	Buy	18.00	14.22	USD	60.7	25.8	6.7	8.9	1.8	1.7	1.6	7%	26%	19%	4.0	4.7	5.5	8%	5%	8%	8%	5%	7%
Champion Iron Ltd.	CIA.AX	Buy	5.60	3.96	AUD	1.5	14.2	12.2	12.4	1.4	1.4	1.6	10%	11%	12%	7.4	6.2	5.6	1%	4%	4%	4%	1%	-35%
Deterra Royalties Ltd.	DRR.AX	Neutral	4.60	4.22	AUD	1.6	13.9	13.3	15.9	17.9	13.6	9.9	n.a.	n.a.	n.a.	9.1	10.4	11.3	8%	8%	6%	6%	5%	2%
Mineral Resources	MIN.AX	Sell	58.00	56.78	AUD	7.8	n.a.	15.1	13.4	3.5	2.2	2.0	-26%	25%	16%	13.5	6.6	5.7	5%	10%	0%	0%	4%	2%
Average global Iron ore peers							**17.2**	**12.8**	**14.4**	**4.7**	**3.8**	**3.2**	**7%**	**20%**	**15%**	**7.1**	**6.6**	**7.0**	**5%**	**6%**	**5%**	**5%**	**4%**	**-1%**

Source: Datastream, Reuters, Goldman Sachs Global Investment Research

Coal: a pull back

Orderbook trend: Coal producers are seeing improvement MoM in July, better than normal seasonality.

Observation on demand drivers: Daily power consumption (coal-fired) was up MoM yet down to flat yoy. Coal demand for non-power end markets was up MoM in July mostly due to higher demand from coal-chemicals. Traders prestocking ahead of summer and less robust weather related demand have led to some pull back.

Supply and inventory: Inventory at selected major IPPs was above 25 days, higher MoM in inventory days. Inner Mongolia's energy authorities have tightened coal mine safety regulations, including suspension of unauthorized work surfaces. Feedback from coal producers suggest that the tightened safety measures will constrain supply in the coming months, affecting both met and thermal coal. Coal import grew by 30% yoy or 29% MoM in June, mainly due to the attractive pricing to domestic power generators.

Pricing and margin trend: Domestic QHD5500 thermal spot prices decreased by 8% to Rmb792/t over the past month, while contract coal prices increased by Rmb6/t to Rmb703/t. As of mid-July, non-power downstream producers, incl. cement and paper producers, are paying Rmb650-950/t coal prices based on feedback, down Rmb50 to Rmb60/t MoM.

Exhibit 66: Monthly output and trade - Chinese coal sector

*updated to Jun-26	May-26 mnt	May-25 mnt	YoY %	5M26 mnt	5M25 mnt	YoY %
Output						
Raw coal output*	381	422	-9.7%	2,365	2,406	-1.7%
Met coal output	38	41	-7.8%	192	197	-2.7%
Trade						
Net imports*	42.4	32.3	31.4%	223	218	2.0%
Non-coking net imports	21.9	28.3	-23%	126	143	-11.7%
Non-coking imports	22.1	28.7	-23%	128	145	-11.8%
Non-coking exports	0.3	0.4	-24%	1.6	2.0	-19.3%
Coking Net imports	11	7	50.4%	54	43	25.5%
Coking imports	11.1	7.4	50.9%	55	44	25.1%
Coking exports	0.12	0.06	111%	0.5	0.5	-2.4%
Demand						
App consumption*	423	454	-6.8%	2,588	2,624	-1.4%
Output-thermal power(bn kwh)*	500	497	0.5%	3,028	2,943	2.9%
Output-pig iron (steel)(mnt)*	72	73	-0.9%	427	439	-2.8%
Output-cement (mnt)*	144	153	-5.6%	736	800	-8.0%
Output-coke(mnt)	43	42	0.8%	210	207	1.2%

Source: CEIC, China Coal Association, Goldman Sachs Global Investment Research

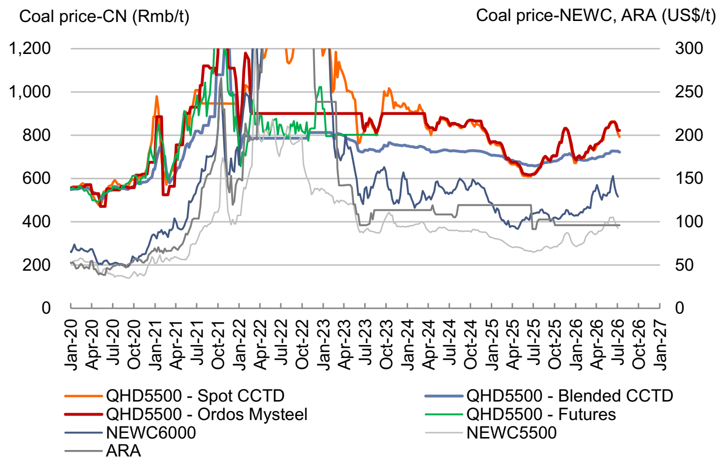
Exhibit 67: Pricing – thermal coal by location

	QHD5500 spot-Rmb/t (w VAT)	QHD5500 blended-Rmb/t (w VAT)	QHD5500 Ordos-Rmb/t (w VAT)	Mine mouth Rmb/t (w VAT)	NEWC 6000 US$/t	Freight US$/t
1Q24	901	745	893	758	126	16.1
2Q24	848	728	855	722	136	17.3
3Q24	849	726	852	727	140	16.8
4Q24	823	723	837	703	138	15.0
1Q25	721	698	732	596	105	12.1
2Q25	633	669	641	512	100	12.8
3Q25	672	669	670	558	109	15.2
4Q25	763	700	768	637	108	16.5
1Q26	715	689	720	591	118	16.8
2Q26	816	713	818	680	136	21.9
3Q26 QTD	801	724	822	686	129	20.1
4Q26						
Jun-26	856	727	858	725	143	22
Jul-26	801	724	822	686	129	20
Spot	792	721	822	681	129	20

(spot prices as of Jul 10, 2026, w VAT)

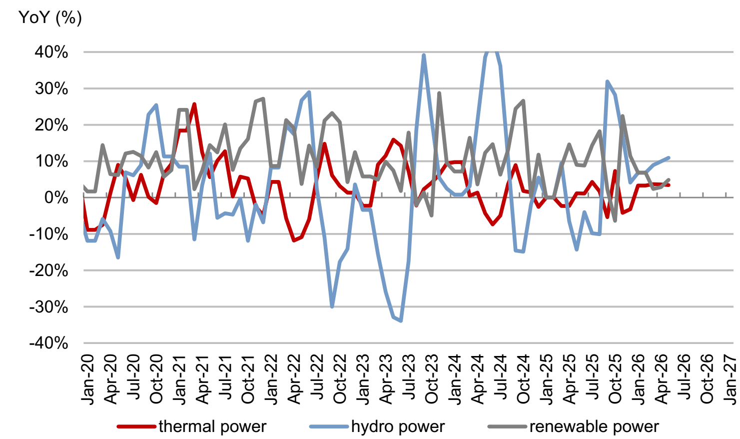
Source: CEIC, Mysteel, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 68: Benchmark coal prices – China and global



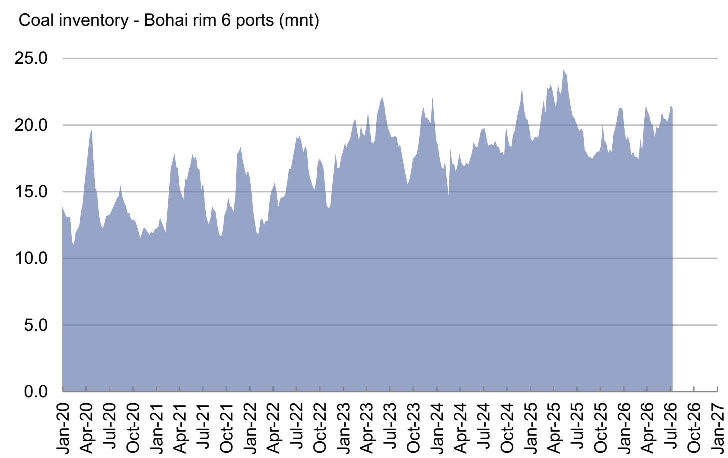
Source: CCTD, Mysteel, Wind, Goldman Sachs Global Investment Research

Exhibit 69: Thermal, hydro, and renewables, power growth yoy – China



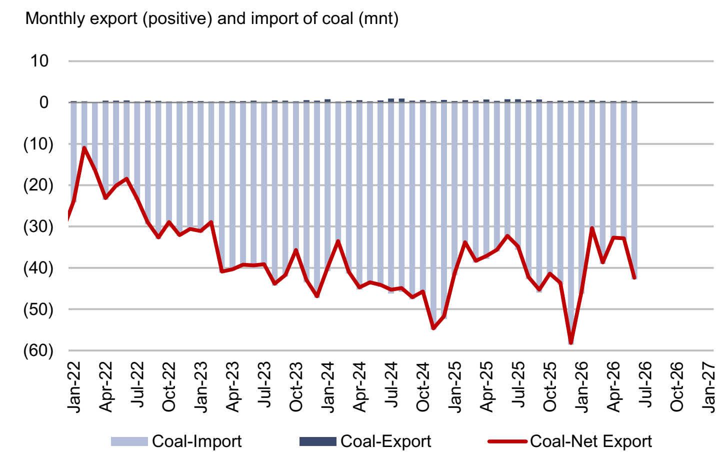
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 70: Coal inventory at six ports of Bohai rim



Source: CCTD, Wind, Goldman Sachs Global Investment Research

Exhibit 71: Monthly coal imports and exports – China



Source: CEIC, CCTD, Goldman Sachs Global Investment Research

Exhibit 72: Valuation peers – Coal

Notes: NC = Not Covered where estimates for NC stocks are based on consensus numbers; target prices are based on a 12-month timeframe.

Company	Ticker	Rating	Target	Price	ccy	Mkt cap	PE			PB			ROE			EV/EBITDA			FCF yield		Div yield			Perf.
Price as of 16-Jul-2026				Local		US$ bn	25A	26E	27E	25A	26E	27E	25A	26E	27E	25A	26E	27E	26E	27E	25A	26E	27E	YTD
China Shenhua Energy	1088.HK	Neutral	45.00	41.88	HKD	109.8	13.2	11.2	11.7	1.7	1.8	1.7	13%	16%	15%	6.1	6.0	6.3	8%	7%	7%	7%	7%	6%
Yankuang Energy	1171.HK	Neutral	15.00	11.11	HKD	14.2	11.3	7.2	8.1	1.4	1.2	1.1	13%	18%	15%	8.3	5.3	5.4	14%	14%	6%	8%	7%	14%
China Coal Energy	1898.HK	Buy	18.00	10.03	HKD	17.0	7.9	5.8	5.7	0.7	0.7	0.6	9%	12%	11%	4.5	3.5	3.1	9%	18%	4%	6%	7%	-1%
Average for HK coal peers							**10.8**	**8.1**	**8.5**	**1.3**	**1.2**	**1.2**	**12%**	**15%**	**13%**	**6.3**	**4.9**	**4.9**	**10%**	**13%**	**6%**	**7%**	**7%**	**6%**
China Shenhua Energy	601088.SS	Neutral	47.00	43.27	CNY	131.4	15.9	13.4	14.0	2.1	2.1	2.0	13%	16%	15%	7.5	7.2	7.5	6%	6%	5%	6%	6%	7%
Yankuang Energy	600188.SS	Sell	19.00	19.47	CNY	28.9	22.9	14.7	16.5	2.7	2.5	2.3	13%	18%	15%	9.8	7.1	7.4	10%	10%	4%	4%	4%	48%
China Coal Energy	601898.SS	Buy	23.00	12.54	CNY	24.6	11.5	8.4	8.2	1.0	1.0	0.9	9%	12%	11%	5.7	4.8	4.3	7%	14%	3%	4%	5%	1%
Zhengzhou Coal	600121.SS	NC	NA	3.42	CNY	0.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-18%
Shanxi Lanhua	600123.SS	NC	NA	6.16	CNY	1.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	6%
Yangquan Coal	600348.SS	NC	NA	8.19	CNY	4.4	19.0	12.4	11.2	1.1	0.8	0.8	6%	6%	6%	7.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	0%
Guizhou Panjiang	600395.SS	NC	NA	4.58	CNY	1.5	29.9	14.8	13.1	n.a.	0.9	0.9	3%	6%	6%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	3%	3%	1%
Anhui Hengyuan Coal	600971.SS	NC	NA	7.64	CNY	1.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	22%
Kailuan Energy	600997.SS	NC	NA	5.22	CNY	1.2	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-9%
Shanxi Lu'an	601699.SS	NC	NA	14.36	CNY	6.3	38.8	12.3	11.4	0.9	0.9	0.9	2%	7%	7%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	27%
Pingdingshan Coal	601666.SS	NC	NA	7.47	CNY	2.7	79.5	14.4	12.6	0.8	0.7	0.7	7%	5%	6%	n.a.	n.a.	n.a.	n.a.	n.a.	1%	4%	5%	-2%
Datong Coal	601001.SS	NC	NA	17.53	CNY	4.3	16.1	11.3	11.0	1.5	1.4	1.3	10%	11%	11%	n.a.	n.a.	n.a.	n.a.	n.a.	3%	4%	4%	38%
Henan Shenhuo	000933.SZ	NC	NA	23.98	CNY	8.0	13.2	6.1	6.3	2.2	1.8	1.6	17%	28%	24%	6.8	3.3	3.2	n.a.	n.a.	3%	8%	7%	-10%
Jizhong Energy	000937.SZ	NC	NA	4.49	CNY	2.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-8%
Shanxi Xishan	000983.SZ	NC	NA	6.05	CNY	5.1	28.5	11.9	11.8	1.0	0.9	0.9	n.a.	7%	7%	8.4	4.6	4.2	n.a.	n.a.	2%	4%	3%	-4%
Huolinhe Coal	002128.SZ	NC	NA	25.13	CNY	11.6	10.4	9.6	9.1	1.5	1.3	1.2	15%	14%	13%	n.a.	n.a.	n.a.	n.a.	n.a.	4%	3%	4%	-7%
Gansu Jingyuan Coal	000552.SZ	NC	NA	2.47	CNY	1.9	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	7%
IM Yitai-B	900948.SS	NC	NA	2.68	USD	7.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	42%
Average for China coal peers							**26.0**	**11.7**	**11.4**	**1.5**	**1.3**	**1.2**	**10%**	**12%**	**11%**	**7.6**	**5.4**	**5.3**	**8%**	**10%**	**3%**	**4%**	**4%**	**8%**
PT Bukit Asam Tbk	PTBA.JK	NC	NA	2,420	IDR	1.5	9.5	7.2	6.4	1.2	1.2	1.1	13%	19%	18%	n.a.	n.a.	n.a.	13%	9%	5%	9%	12%	4%
Adaro energy	ADRO.JK	NC	NA	2,510	IDR	4.0	57.3	57.3	45.9	7.4	7.1	6.4	10%	12%	14%	43.4	33.2	25.7	n.a.	n.a.	1%	1%	1%	38%
Exxaro resources	R:EXX	NC	NA	199.8	ZAR	4.2	6.2	5.3	5.3	0.8	0.9	0.8	14%	16%	14%	n.a.	4.3	4.0	n.a.	n.a.	9%	10%	10%	10%
Yancoal Australia	YAL.AU	NC	NA	5.36	AUD	5.0	16.1	10.1	9.5	0.8	0.7	0.7	5%	8%	8%	n.a.	n.a.	n.a.	n.a.	n.a.	5%	6%	6%	7%
Indo Tambangraya	IITMG	NC	NA	23,825	IDR	1.5	64.0	44.6	48.8	6.4	6.0	5.8	10%	14%	12%	34.7	28.2	30.8	0%	0%	1%	1%	1%	8%
Whitehaven	WHC.AX	Neutral	8.10	7.43	AUD	4.1	18.6	45.9	10.1	1.1	1.0	1.0	6%	2%	10%	4.3	7.4	4.6	2%	13%	2%	2%	5%	-5%
Coal India Ltd.	COAL.BO	NC	NA	427.4	INR	27.4	8.5	7.9	7.5	2.2	2.0	1.8	29%	27%	24%	5.3	4.7	4.4	3%	2%	6%	7%	7%	0%
Average global coal peers							**25.7**	**25.5**	**19.1**	**2.8**	**2.7**	**2.5**	**12%**	**14%**	**14%**	**21.9**	**15.6**	**13.9**	**4%**	**7%**	**4%**	**5%**	**6%**	**9%**
China Huadian Corp Ltd	600726.SS	NC	NA	5.30	CNY	6.2	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	122%
Datang HuaYin Electric Power Co Ltd	600744.SS	NC	NA	5.96	CNY	1.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	1%
Chongqing Three Gorges	600116.SS	NC	NA	6.29	CNY	1.8	27.3	21.0	18.0	n.a.	n.a.	n.a.	n.a.	5%	6%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-4%
Huadian Power Intl	600027.SS	NC	NA	4.65	CNY	8.0	9.5	10.3	9.6	1.1	0.8	0.8	11%	8%	9%	n.a.	7.9	7.2	n.a.	n.a.	5%	4%	4%	-8%
Zhejiang Zheneng Electric	600023.SS	NC	NA	5.17	CNY	10.2	9.2	11.6	10.3	0.9	0.9	0.8	10%	8%	8%	n.a.	n.a.	n.a.	n.a.	n.a.	5%	4%	5%	4%
Guangxi Guiguan electric power	600236.SS	NC	NA	8.05	CNY	9.1	28.8	22.4	20.6	3.9	3.2	3.0	12%	14%	15%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	3%	3%	36%
Guangdong Electric	000539.SZ	NC	NA	4.60	CNY	3.5	25.0	32.9	18.4	n.a.	n.a.	n.a.	4%	3%	5%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	20%
Guangdong Shaoneng Group	000601.SZ	NC	NA	6.48	CNY	1.0	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	38%
Hubei Energy Group	000883.SZ	NC	NA	4.63	CNY	4.8	16.0	15.2	14.7	0.8	0.9	0.8	5%	6%	6%	n.a.	n.a.	n.a.	n.a.	n.a.	3%	3%	3%	2%
Jiangsu Guoxin corp	002608.SZ	NC	NA	7.07	CNY	3.9	n.a.	9.4	8.9	n.a.	0.7	0.7	n.a.	8%	8%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	2%	3%	-4%
Datang International Power Generati	991.HK	NC	NA	2.36	HKD	5.6	7.5	5.9	5.6	1.2	0.5	0.5	23%	9%	9%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	8%
Huaneng Power Intl	902.HK	NC	NA	5.79	HKD	11.6	6.3	8.6	7.8	n.a.	0.9	0.8	10%	10%	10%	2.3	7.1	3.0	n.a.	n.a.	7%	5%	6%	-3%
Huadian Power Intl	1071.HK	NC	NA	3.93	HKD	5.8	8.0	9.2	8.5	0.9	0.7	0.7	n.a.	8%	9%	n.a.	7.6	8.1	n.a.	n.a.	6%	5%	5%	-4%
China Resources Power Holdings	836.HK	NC	NA	18.17	HKD	12.0	6.5	7.5	7.2	0.8	0.8	0.7	14%	11%	10%	7.4	7.7	7.3	n.a.	n.a.	6%	5%	6%	1%
China Power International Developm	2380.HK	NC	NA	2.74	HKD	4.3	11.4	12.3	11.4	0.8	0.7	0.7	7%	6%	6%	9.2	8.4	7.9	n.a.	n.a.	6%	6%	6%	-17%
Average for China Utility peers							**13.9**	**13.9**	**11.8**	**1.3**	**1.0**	**1.0**	**11%**	**8%**	**9%**	**6.3**	**7.7**	**6.7**	**n.a.**	**n.a.**	**6%**	**4%**	**5%**	**13%**

Source: Datastream, Reuters, Goldman Sachs Global Investment Research

Cement: limited move in supply work

Orderbook trend: Daily shipment for cement, RMC, and glass producers was mostly down MoM by mid-Jul, weaker than normal seasonality. High-frequency industry cement shipment was 5% lower than the average of Jun, and remained at 4% lower yoy for the week of Jul 10th.

Observation on demand drivers: Construction demand in Southern and YZD further softened in mid July, as result of heavier rainfall and higher temperature. Most producers see limited visibility on project set up for key infrastructure under 15th five-year plan, while a producer based in Northern regions commented on an increasing number of key projects moved forward to bidding stage since June, in rural highway, water conservation, and railway. Construction dealers commented that project start rates were 37-45% in mid Jul, lower MoM.

Supply and inventory: Planned production suspension change was mixed in July, with 5 days less in Northeast yoy, but 5 days more in Shaanxi. Inventory levels were 60%-72%, versus 57-73% a year ago. Feedback suggested more challenging operating environment for small producers; however, actual exits have not taken place for different reasons. In addition, 5% of the industry supply has not met energy efficiency requirements, based on industry discussions; however, the impact on industry supply outlook remains unclear.

Pricing and margin trend: There has been a Rmb20-40/t price hike attempt in selective regions since early July - failed in GD, but partially executed in Shaanxi. We estimate unit gross profit is Rmb3/t to Rmb52/t, vs negative Rmb13/t to Rmb45/t a month ago, mostly driven by lower coal cost.

Exhibit 73: Monthly output, trade, and regional demand – China cement sector

	Jun-26	Jun-25	YoY	6M26	6M25	YoY
**updated to May-26*	mnt	mnt	%	mnt	mnt	%
Output-Cement	144	153	-5.6%	736	800	-8.0%
Net export-cement&clinker*	2.60	0.90	189.1%	11.44	3.12	266.2%
of which export-clinker*	1.85	0.38	388.0%	8.19	1.02	702.4%
of which import-clinker*	0.00	0.00	629.8%	0.00	0.05	-99.4%
Apparent demand*	149	163	-8.3%	588	644	-8.8%
Output by region	**Jun-26**	**Jun-25**	**YoY**	**6M26**	**6M25**	**YoY**
BJ/TJ/HB	10.6	11.4	-7.7%	46.6	50.7	-8.1%
GD/GX	15.0	16.2	-7.1%	91.1	102.7	-11.3%
YZD	27.4	28.7	-4.7%	151.6	167.8	-9.7%
Shandong	10.2	10.3	-0.9%	45.8	50.6	-9.6%
Hunan/Jiangxi	9.5	10.1	-5.8%	53.7	58.5	-8.2%
IM/Shanxi	7.0	7.6	-8.1%	25.7	27.5	-6.5%
Shaanxi	3.5	4.3	-17.2%	18.0	23.1	-21.9%
Xinjiang	5.1	5.5	-6.1%	16.5	19.5	-15.4%
Central south	34.7	36.9	-6.0%	197.0	220.3	-10.6%
Southwest	24.4	25.8	-5.5%	140.2	144.6	-3.1%
Northwest	15.9	17.0	-6.3%	61.6	69.7	-11.6%
Northeast	6.9	8.2	-15.1%	23.2	26.5	-12.2%

Source: Digital Cement, CEIC, Goldman Sachs Global Investment Research

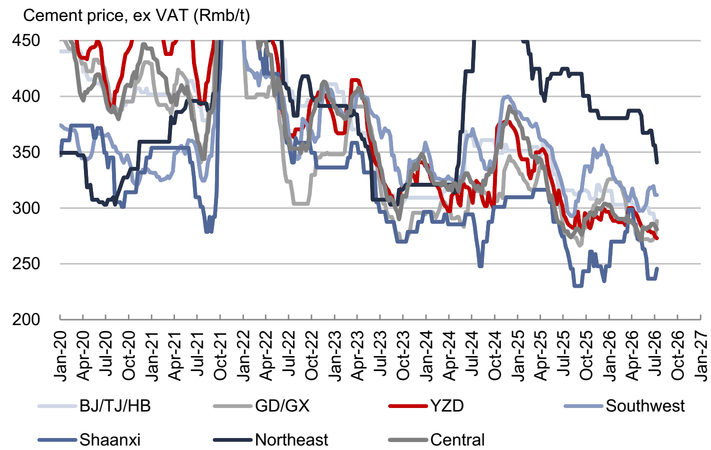
Exhibit 74: Cement (42.5 grade) prices by region

Rmb/t ex VAT	BJ/TJ/HB	GD/GX	YZD	SD	Shaanxi	Xinjiang	Central	South west	North west	North east
1Q24	313	299	317	327	291	376	324	332	331	321
2Q24	336	294	313	333	288	376	323	339	332	367
3Q24	359	312	310	334	276	376	324	347	338	460
4Q24	352	330	374	410	306	376	375	389	346	457
1Q25	352	325	342	399	312	376	356	377	330	438
2Q25	339	320	327	364	300	374	310	346	318	414
3Q25	315	275	288	339	245	368	280	310	296	417
4Q25	314	306	292	339	249	372	298	346	299	385
1Q26	306	314	291	332	274	372	293	321	301	382
2Q26	299	274	286	319	263	364	282	308	283	376
3Q26 QTD	288	281	274	294	241	303	282	312	263	348
4Q26										
Jun-26	296	271	279	299	237	347	284	318	271	366
Jul-26	288	281	274	294	241	303	282	312	263	348
Spot	288	288	273	294	246	274	281	312	258	341

(Jul 10, 2026, all prices excl VAT)

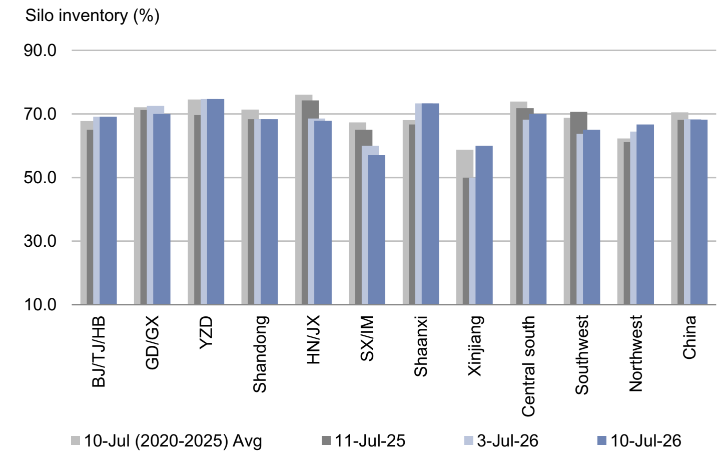
Source: CEIC, Digital Cement, Goldman Sachs Global Investment Research

Exhibit 75: Cement (42.5 grade) prices by region



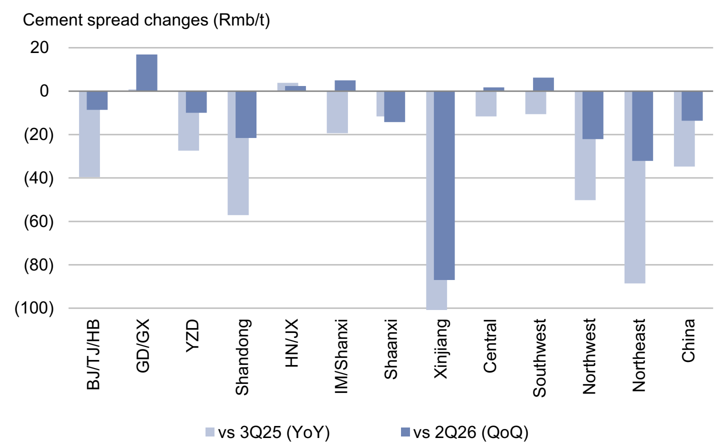
Source: Digital Cement, Goldman Sachs Global Investment Research

Exhibit 76: Silo inventory by region



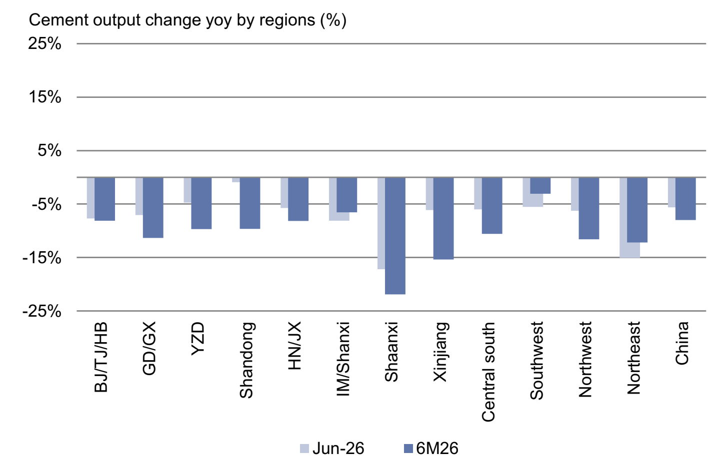
Source: Digital Cement, Goldman Sachs Global Investment Research

Exhibit 77: Cement spread changes by region (current yoy and QoQ)



Source: Digital Cement, Goldman Sachs Global Investment Research

Exhibit 78: Cement output growth yoy by region (demand proxy)



Source: Digital Cement, Goldman Sachs Global Investment Research

Exhibit 79: Valuation peers – Cement

Notes: NC = Not Covered, NR = Not Rated, CS = Coverage Suspended where estimates for CS/NC stocks are based on consensus numbers; target prices are based on a 12-month timeframe

Company	Ticker	Rating	Target	Price	ccy	Mkt cap	PE			PB			ROE			EV/EBITDA			FCF yield		Div yield			Perf.
Price as of 16-Jul-2026				Local		US$ bn	25A	26E	27E	25A	26E	27E	25A	26E	27E	25A	26E	27E	26E	27E	25A	26E	27E	YTD
Anhui Conch Cement	0914.HK	Buy	27.00	17.03	HKD	11.5	9.2	8.0	5.6	0.4	0.4	0.4	4%	5%	7%	4.0	1.8	0.9	6%	18%	4%	7%	9%	-25%
BBMG Corp.	2009.HK	Neutral	0.70	0.58	HKD	0.8	n.a.	n.a.	n.a.	0.1	0.1	0.1	-1%	-3%	-3%	16.3	22.6	18.2	-48%	-11%	7%	10%	10%	-22%
China Resources Cement	1313.HK	Neutral	1.30	1.06	HKD	0.9	13.3	n.a.	9.1	0.1	0.1	0.1	1%	0%	2%	7.7	8.7	5.5	-19%	20%	2%	1%	6%	-34%
China National Building Matl	3323.HK	Buy	6.00	3.84	HKD	3.7	n.a.	7.0	3.7	0.3	0.3	0.2	-4%	4%	7%	14.2	9.9	7.8	-2%	15%	4%	7%	14%	-25%
West China Cement	2233.HK	Sell	1.10	1.71	HKD	1.2	9.2	13.8	7.8	0.6	0.6	0.6	7%	5%	8%	6.5	6.1	5.3	-7%	-2%	2%	2%	4%	-45%
China Shanshui Cement	0691.HK	NC	NA	0.28	HKD	0.2	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-53%
Asia Cement	0743.HK	NC	NA	1.67	HKD	0.3	30.4	5.4	n.a.	0.2	0.2	0.1	n.a.	3%	3%	n.a.	-5.4	-5.5	n.a.	n.a.	2%	3%	3%	-33%
Average HK cement peers							**15.5**	**8.6**	**6.6**	**0.3**	**0.3**	**0.2**	**1%**	**2%**	**3%**	**9.7**	**7.3**	**5.4**	**-14%**	**8%**	**4%**	**5%**	**7%**	**-34%**
Anhui Conch Cement	600585.SS	Buy	26.50	17.55	CNY	13.7	11.0	9.6	6.7	0.5	0.5	0.4	4%	5%	7%	5.0	2.6	1.5	5%	15%	4%	6%	8%	-20%
BBMG Corp.	601992.SS	Sell	1.00	1.42	CNY	2.2	n.a.	n.a.	n.a.	0.2	0.2	0.2	-1%	-3%	-3%	20.6	27.3	21.9	-33%	-8%	3%	4%	4%	-15%
Jidong	000401.SZ	NC	NA	3.61	CNY	1.4	44.0	27.8	n.a.	0.3	0.3	0.3	1%	2%	3%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-18%
Jiangxi wannianqing	000789.SZ	NC	NA	4.02	CNY	0.5	n.a.	80.4	n.a.	0.5	0.5	0.5	0%	0%	-1%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-23%
Xinjiang tianshan	000877.SZ	NC	NA	3.64	CNY	3.8	n.a.	n.a.	n.a.	0.3	0.3	0.3	n.a.	0%	1%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-32%
Tianjin tianbao	000965.SZ	NC	NA	3.08	CNY	0.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-21%
Tapai	002233.SZ	NC	NA	7.20	CNY	1.2	13.3	n.a.	n.a.	0.7	n.a.	n.a.	5%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	7%	n.a.	n.a.	-20%
Ningxia blms	600449.SS	NC	NA	11.91	CNY	0.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-4%
Gansu qilianshan-A	600720.SS	NC	NA	5.21	CNY	1.8	8.2	8.4	n.a.	0.7	0.7	0.7	9%	9%	8%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-28%
Huaxin cement-A	600801.SS	NC	NA	19.96	CNY	6.1	15.1	11.3	n.a.	1.3	1.2	1.1	9%	10%	11%	6.5	4.9	4.2	n.a.	n.a.	3%	3%	4%	-19%
Beijing new bldg.mats-A	000786.SZ	Neutral	22.40	18.40	CNY	4.6	10.7	9.9	8.9	1.1	1.1	1.0	11%	11%	12%	11.1	6.3	5.4	8%	9%	3%	4%	4%	-26%
Average China cement peers							**17.1**	**24.6**	**7.8**	**0.6**	**0.6**	**0.6**	**5%**	**4%**	**5%**	**10.8**	**10.3**	**8.3**	**-7%**	**6%**	**4%**	**4%**	**5%**	**-20%**
ACC Ltd.	ACC.BO	Sell	1,340	1,372	INR	2.7	11.1	12.2	14.8	1.4	1.3	1.2	13%	11%	8%	13.6	11.3	7.8	-8%	2%	0%	0%	0%	-22%
Ambuja Cements	ABUJ.BO	Neutral	470.0	433.3	INR	11.1	24.8	22.7	87.1	1.7	1.5	1.5	9%	8%	2%	24.8	22.7	16.9	-1%	1%	0%	0%	0%	-23%
Kajaria Ceramics Ltd.	KAJR.BO	Buy	1,330	1,241	INR	2.1	56.7	37.0	29.0	7.2	6.5	5.9	13%	17%	21%	30.7	18.9	18.1	3%	3%	1%	1%	2%	27%
Shree Cement Ltd.	SHCM.BO	Neutral	26,950	26,938	INR	10.1	81.2	57.0	45.4	4.6	4.3	4.0	6%	8%	9%	21.4	21.1	20.0	2%	2%	0%	1%	1%	0%
Ultratech Cement	ULTC.BO	Buy	13,160	11,780	INR	35.3	56.6	41.7	44.6	4.9	4.5	4.5	9%	11%	10%	27.6	22.1	22.0	1%	1%	1%	2%	1%	-1%
Siam Cement PCL	SCC.BK	Sell	185.0	256.0	THB	9.2	21.8	21.3	13.6	0.9	0.9	0.9	4%	4%	6%	21.8	19.1	14.2	2%	6%	3%	2%	3%	40%
James Hardie	JHX.AX	CS	NA	37.60	AUD	8.4	34.5	32.1	25.7	3.4	3.1	2.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	3%	4%	n.a.	n.a.	n.a.	22%
Heidelberg Materials	HEIG.DE	Buy	230.0	173.55	EUR	34.6	14.2	13.3	11.7	1.6	1.5	1.4	11%	11%	13%	8.0	7.3	6.5	6%	6%	2%	2%	3%	-22%
Holcim	HOLN.S	Buy	88.0	78.16	CHF	55.4	23.6	21.8	19.0	1.7	2.3	2.2	11%	9%	11%	7.5	12.1	11.5	n.a.	n.a.	4%	2%	2%	-4%
Cemex	CEMEXCPO.	Buy	27.5	22.78	MXN	18.9	20.0	10.6	11.0	1.4	1.3	1.1	7%	12%	11%	5.3	6.2	5.6	n.a.	n.a.	1%	1%	1%	10%
India cements	ICEM.IN	NC	NA	397.9	INR	1.3	n.a.	51.7	n.a.	1.2	1.2	1.2	1%	2%	5%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	0%	0%	-11%
Solusi Bangun	ISMCB	NC	NA	775.0	IDR	0.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	0%
Semen gresik	SMGR.JK	NC	NA	1,495	IDR	0.6	53.4	16.2	n.a.	0.2	0.2	0.2	0%	2%	2%	n.a.	n.a.	n.a.	0%	0%	2%	2%	6%	-44%
Asia cement	1102.TT	NC	NA	36.85	TWD	4.1	9.6	11.9	n.a.	0.7	0.7	0.7	7%	6%	6%	11.0	11.0	10.8	n.a.	n.a.	6%	5%	5%	-33%
Taiwan cement	1101.TT	NC	NA	24.95	TWD	6.1	17.6	89.4	n.a.	0.8	0.8	0.8	5%	0%	5%	8.5	10.1	7.4	n.a.	n.a.	4%	4%	4%	4%
Chia hsin cement	1103.TT	NC	NA	13.60	TWD	0.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-2%
Tpi polene	TPIPL.TB	NC	NA	0.81	THB	0.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	17%
Dangote	DANGCEM.N	NC	NA	1,047.0	NGN	13.0	17.5	12.2	9.1	7.0	5.6	4.8	n.a.	48%	50%	9.4	7.0	5.5	n.a.	n.a.	4%	6%	8%	72%
Average global cement peers							**31.6**	**30.1**	**28.3**	**2.6**	**2.4**	**2.2**	**7%**	**11%**	**11%**	**15.8**	**14.1**	**12.2**	**1%**	**3%**	**2%**	**2%**	**3%**	**2%**

Source: Datastream, Reuters, Goldman Sachs Global Investment Research

Paper packaging: export demand remains elevated while domestic demand a drag

Orderbook trend: As of mid-July, paper mills commented that shipments were flat to down MoM, inline or better than normal seasonality.

Observation on demand drivers: Paper mills commented that finished goods exports remain strong, while domestic demand was weaker in sectors such as beer and drinks.

Supply and inventory: Feedback from paper mills suggest paper inventory was at below normal levels while inventory at box makers was at above normal levels. There are no paper mills with announced capacity suspensions in July. Domestic OCC market remains tight amid continued rainy season.

Pricing and margin trend: Recent China imported hardwood pulp price declined by Rmb101/t MoM and softwood pulp price declined by Rmb124/t MoM. Domestic waste paper price increased by Rmb178/t MoM. Large paper mills continued to push for price hikes for containerboard paper, but saw resistance from boxmakers as they can't pass through to downstream amid domestic demand weakness. We estimate ND Paper unit net profit was at negative Rmb172/t as of mid-Jul, lower than our expectations.

Exhibit 80: Monthly output and trade – Chinese paper

	May-26 mnt	May-25 mnt	YoY %	5M26 mnt	5M25 mnt	YoY %
Output						
Linerboard	2.31	2.22	4.1%	10.4	10.4	-0.1%
Corrugating	2.35	2.25	4.1%	10.6	10.6	-0.1%
Total containerboard	**4.66**	**4.48**	**4.1%**	**21.0**	**21.0**	**-0.1%**
Graphic paper	1.61	1.73	-6.7%	8.7	8.4	3.5%
Total paper	**14.6**	**13.6**	**7.5%**	**68.7**	**64.8**	**6.0%**
Net imports						
Pulp	2.99	3.02	-1.0%	15.55	16.05	-3.1%
Containerboard	0.38	0.53	-28.8%	2.3	3.0	-23.2%
Graphic paper	(0.27)	(0.21)	30.9%	(1.2)	(1.0)	19.0%
Recycled pulp	0.26	0.38	-31.5%	1.3	1.7	-25.9%
Demand						
Containerboard	5.04	5.01	0.6%	23.3	24.0	-2.9%
Graphic paper	1.34	1.52	-11.8%	7.4	7.3	1.2%
Total paper	14.5	13.8	5.1%	68.7	65.9	4.2%
Output of downstream products						
Milk (mnt)	2.61	2.34	11.5%	12.7	11.8	7.0%
Spirits (mn kiloliter)	0.25	0.28	-10.8%	1.45	1.52	-4.3%
Air conditioner (mn units)	27.2	27.5	-0.9%	130.0	128.8	0.9%
Refrigerators (mn units)	10.1	8.8	14.1%	47.4	42.1	12.6%

Source: RZX, Wind, Goldman Sachs Global Investment Research

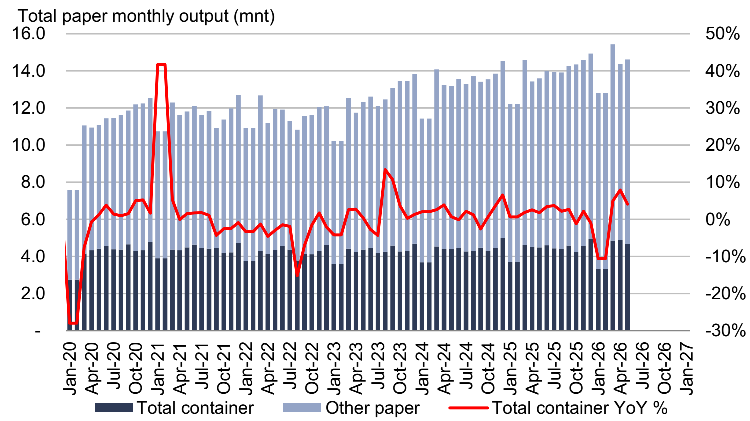
Exhibit 81: Quarterly average price – paper

	Corrugated medium		Linerboard		Spread	China ONP
	Southern Rmb/t	Eastern Rmb/t	Southern Rmb/t	Eastern Rmb/t	Linerboard Rmb/t	Rmb/t
1Q24	2,837	2,928	3,603	3,392	1,209	1,379
2Q24	2,687	2,692	3,507	3,196	1,145	1,321
3Q24	2,608	2,617	3,365	3,131	1,039	1,349
4Q24	2,755	2,716	3,422	3,182	1,040	1,404
1Q25	2,746	2,800	3,556	3,234	1,221	1,364
2Q25	2,572	2,583	3,353	3,048	1,108	1,351
3Q25	2,649	2,667	3,324	3,089	983	1,444
4Q25	2,962	2,995	3,600	3,369	932	1,672
1Q26	2,669	2,687	3,288	3,211	1,031	1,429
2Q26	2,805	2,773	3,340	3,228	832	1,570
3Q26 QTD	2,964	3,016	3,482	3,373	679	1,803
4Q26						
Jun-26	2,897	2,901	3,413	3,296	746	1,678
Jul-26	2,964	3,016	3,482	3,373	679	1,803
Spot	2,973	3,037	3,492	3,383	654	1,834

(Jul 8, 2026, all prices excl VAT)

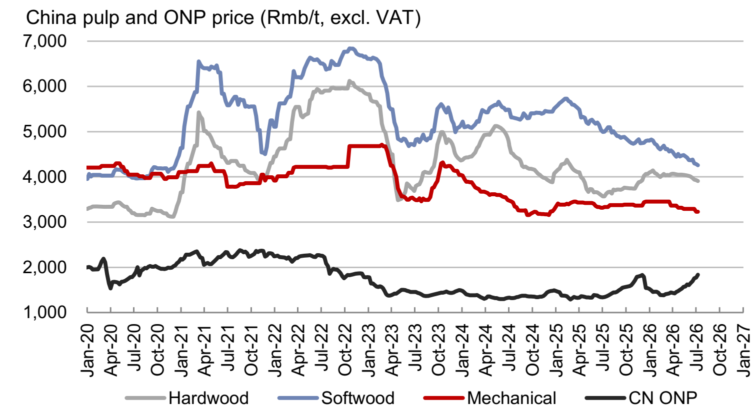
Source: RZX, Wind, Goldman Sachs Global Investment Research

Exhibit 82: Total paper monthly output – China



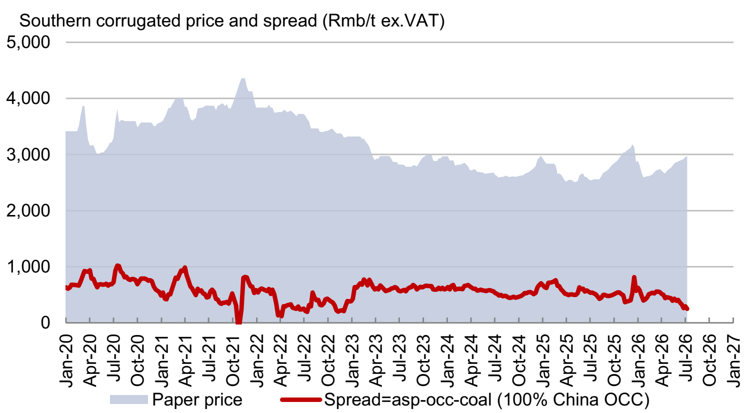
Source: RZX, Goldman Sachs Global Investment Research

Exhibit 83: China pulp and ONP price



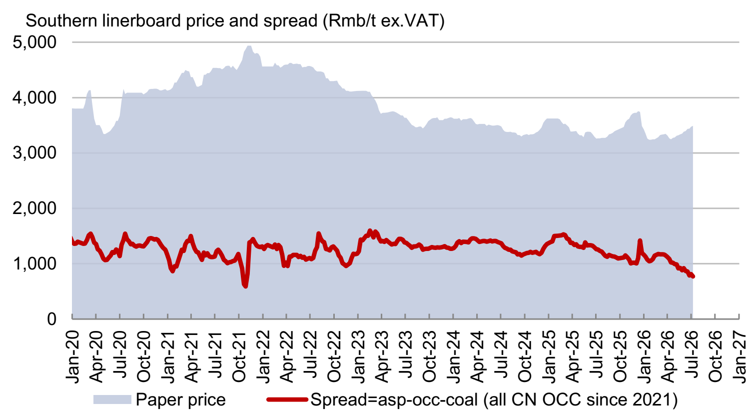
Source: RZX, Goldman Sachs Global Investment Research

Exhibit 84: Corrugated medium – Southern China



Source: RZX, Goldman Sachs Global Investment Research

Exhibit 85: Linerboard – Southern China



Source: RZX, Goldman Sachs Global Investment Research

Exhibit 86: Valuation peers – Paper

Notes: NC = Not Covered, CS = Coverage Suspended where estimates for CS/NC stocks based on consensus numbers; target prices are based on a 12-month timeframe

Company	Ticker	Rating	Target	Price	ccy	Mkt cap	PE			PB			ROE			EV/EBITDA			FCF yield		Div yield			Perf.
Price as of 16-Jul-2026				Local		US$ bn	25A	26E	27E	25A	26E	27E	25A	26E	27E	25A	26E	27E	26E	27E	25A	26E	27E	YTD
Nine Dragons Paper	2689.HK	Sell	4.30	7.47	HKD	4.5	14.0	10.6	13.2	0.6	0.6	0.6	4%	5%	4%	13.7	11.1	10.9	-20%	-4%	0%	1%	1%	25%
L&M	2314.HK	NC	NA	3.28	HKD	1.8	11.1	9.1	8.7	0.5	0.5	0.5	5%	6%	6%	10.3	9.9	9.3	n.a.	n.a.	3%	4%	4%	17%
Shanying Paper	600567.SS	NC	NA	1.33	CNY	1.3	n.a.	66.5	26.6	0.5	0.5	0.5	n.a.	1%	2%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	1%	-20%
Shandong Sun paper	002078.SZ	Sell	12.20	13.62	CNY	5.6	11.7	11.2	11.8	1.2	1.2	1.1	11%	11%	9%	8.6	8.4	8.1	-9%	2%	2%	2%	2%	-14%
Qifeng material	002521.SZ	NC	NA	8.53	CNY	0.7	38.8	31.6	25.8	1.2	1.2	1.2	3%	4%	5%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-23%
Zhejiang Dilong	002247.SZ	NC	NA	2.83	CNY	0.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-25%
Hexing Packaging	002228.SZ	NC	NA	3.04	CNY	0.5	n.a.	16.0	16.0	n.a.	1.2	1.2	n.a.	8%	8%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	5%	5%	-32%
Yueyang Forest & Paper	600963.SS	NC	NA	3.11	CNY	0.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-33%
Bohui Paper	600966.SS	NC	NA	4.60	CNY	0.9	37.4	20.4	13.0	0.8	0.9	0.8	n.a.	3%	5%	n.a.	n.a.	n.a.	n.a.	n.a.	1%	1%	2%	-33%
Rongsheng Environment	603165.SS	NC	NA	13.18	CNY	0.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	4%
HK China peers							**22.6**	**23.6**	**16.4**	**0.8**	**0.9**	**0.8**	**6%**	**5%**	**5%**	**10.9**	**9.8**	**9.5**	**-10%**	**-1%**	**1%**	**3%**	**3%**	**-14%**
Graphic Packaging	GPK	NC	NA	11.13	USD	3.3	6.2	13.4	9.6	1.0	1.0	1.0	17%	6%	11%	6.2	7.6	6.5	22%	19%	4%	4%	4%	-27%
O-I Glass	OI	CS	NA	9.60	USD	1.5	6.0	8.2	5.1	1.0	1.0	0.9	20%	13%	18%	5.1	5.2	4.5	n.a.	n.a.	n.a.	n.a.	n.a.	-37%
Crown	CCK	NC	NA	117.02	USD	13.1	15.0	14.4	13.3	4.4	3.8	3.9	31%	28%	28%	8.2	8.7	8.3	6%	7%	1%	1%	1%	12%
Silgan	SLGN	CS	NA	47.40	USD	5.0	12.7	12.4	11.6	2.2	2.0	1.8	19%	16%	16%	8.5	7.8	7.3	n.a.	n.a.	2%	2%	2%	15%
Sonoco	SON	CS	NA	56.18	USD	5.6	9.8	9.6	8.8	1.5	1.5	1.3	19%	16%	16%	7.2	7.2	6.6	n.a.	n.a.	4%	4%	4%	27%
Amcor Plc	AMC.AX	Buy	81.40	63.77	AUD	20.6	12.5	11.2	10.0	1.8	1.7	1.6	15%	0%	0%	13.8	9.4	8.2	7%	10%	5%	6%	6%	-79%
Orora Ltd	ORA.AX	Neutral	1.76	1.44	AUD	1.4	8.9	12.4	12.1	0.7	0.7	0.6	39%	5%	5%	7.9	5.7	5.4	3%	8%	5%	7%	6%	-35%
Brambles	BXB.AX	Neutral	19.34	19.44	AUD	18.5	21.9	19.6	18.0	5.6	5.6	5.3	27%	29%	30%	8.7	8.6	7.9	4%	3%	3%	3%	3%	-15%
SIG Combibloc	SIGNC.S	Buy	16.00	13.49	CHF	6.4	24.1	21.1	19.0	2.1	1.9	1.8	-3%	9%	9%	10.2	9.6	8.7	4%	5%	0%	1%	2%	19%
International Paper Co.	IP	CS	NA	37.87	USD	20.1	n.a.	27.0	13.4	1.3	1.4	1.3	-1%	5%	10%	9.7	8.8	6.6	3%	13%	5%	5%	5%	-6%
Global packaging paper peers							**13.0**	**14.9**	**12.1**	**2.2**	**2.1**	**1.9**	**18%**	**13%**	**14%**	**8.5**	**7.8**	**7.0**	**7%**	**9%**	**3%**	**4%**	**4%**	**-13%**
UPM-Kymmene	UPM.HE	Neutral	25.00	23.25	EUR	14.3	11.7	20.1	15.8	1.1	1.2	1.2	5%	8%	9%	12.9	10.3	9.1	7%	9%	5%	6%	6%	-8%
Stora Enso	STERV.HE	Sell	8.00	9.48	EUR	8.6	26.7	20.3	19.3	0.7	0.7	0.7	7%	3%	4%	9.4	9.0	8.5	2%	3%	2%	3%	3%	-12%
BillerudKorsnas AB	BILL.ST	CS	NA	64.40	SEK	1.7	22.5	340.7	18.0	0.6	0.6	0.6	3%	0%	3%	5.3	7.3	5.2	n.a.	n.a.	n.a.	3%	3%	-32%
Packaging Corp. of America	PKG	CS	NA	234.04	USD	20.9	23.8	22.4	18.6	4.5	4.2	3.8	20%	19%	22%	10.8	11.5	10.1	3%	5%	2%	2%	2%	11%
Boise Cascade Co.	BCC	Neutral	81.00	80.14	USD	2.9	22.7	21.1	16.7	1.5	1.4	1.4	7%	7%	8%	10.0	8.4	7.2	3%	7%	1%	1%	4%	8%
Weyerhaeuser Co.	WY	Buy	36.00	24.45	USD	17.6	n.a.	n.a.	97.0	1.9	2.0	2.1	3%	2%	2%	22.3	23.6	20.1	-1%	2%	3%	3%	4%	3%
Elopak	ELO.OL	CS	NA	35.75	NOK	1.0	n.a.	n.a.	111.7	28.4	25.4	22.9	18%	19%	21%	54.3	53.9	47.0	0%	0%	0%	0%	0%	-33%
Others							**21.5**	**84.9**	**42.4**	**5.5**	**5.1**	**4.7**	**9%**	**8%**	**10%**	**17.9**	**17.7**	**15.3**	**2%**	**4%**	**2%**	**3%**	**3%**	**-9%**

Source: Datastream, Reuters, Goldman Sachs Global Investment Research

Target price methodologies and risks

Exhibit 87: Valuation methodologies and key risks to our ratings and target prices

Ticker	Company	Rating	Price (Tccy) 16-Jul-2026	12m price target (Tccy)	12 month price target methodology	Risks
0323.HK	Maanshan-H	Neutral	1.65	2.20	2026E P/B vs.2026E ROE based on historical correlation	Key risks for Maanshan-H: 1) higher/lower steel prices which are determined by the industry supply-demand balance, that can lead to better/worse revenue for company; 2) steel industry capacity closure/expansion, which could drive higher/lower margin; 3) raw materials costs including lower/higher iron ore and met coal that can potentially drive higher/lower margins.
0347.HK	Angang-H	Sell	1.16	1.15	2026E P/B vs.2026E ROE based on historical correlation	Key upside risks for Angang-H/A: 1) higher steel prices which are determined by the industry supply-demand balance, that can lead to better revenue for company; 2) steel industry capacity closure and production control for crude steel, which could drive higher margin; 3) raw materials costs including lower iron ore and met coal that can potentially drive higher margins.
0358.HK	JXC-H	Buy	32.32	45.00	2026E P/B vs. 2026E ROE based on historical correlation	Key downside risks include: 1) JXC's earnings are highly leveraged to commodity prices (mainly copper), which depend on industry supply additions and global economic growth, so downside could come from a sudden decline in China’s refined copper demand, which ultimately would affect net earnings; 2) delay in JXC's copper mine expansion due to government approvals or other macro factors, that ultimately affects net earnings; 3) operational risks including a sudden decline in ore grade, which would ultimately affect the company’s net earnings.
0914.HK	Conch-H	Buy	17.03	27.00	2026E P/B vs.2026E ROE based on historical correlation	Key downside risks: 1) weaker-than-expected property and infrastructure demand to lower utilization, that ultimately negatively affects cement pricing; 2) slower-than-expected unauthorized cement capacity exit, that would lead to persistent depressed cement price levels; 3) market share loss in YZD regions, due to more intensified competition and potential launch of new production lines, through replacement; 4) higher-than-expected coal/other raw material cost, and/or additional environmental protection spending to negatively affect margins.
1088.HK	Shenhua-H	Neutral	41.88	45.00	2026E P/B vs.2026E ROE based on historical correlation	Key risks include: 1) higher/lower than-expected coal prices, which are driven by coal supply/demand and price controls imposed by the NDRC; 2) a slower/faster-than-expected pace of renewable energy replacement; 3) an increase/decrease in oil price that could lead to higher/lower coal chemical segment profit; 4) more/less production disruptions due to safety or environmental inspections; 5) faster/slower-than-expected project execution for new mines such as Xinjie mine.
1171.HK	Yankuang-H	Neutral	11.11	15.00	2026E P/B vs.2026E ROE based on historical correlation	Key risks: 1) higher/lower-than-expected coal prices in domestic and international markets; 2) a slower/faster-than-expected pace of renewable energy replacement; 3) an increase/decrease in oil price that could lead to higher/lower coal chemical segment profit; 4) more/less production disruptions due to safety or environmental inspections; 5) faster/slower-than-expected project execution for new mines and assets injection from the parent company.
1208.HK	MMG	Buy	7.63	14.00	2026E P/B vs. 2026E ROE based on historical correlation	Key downside risks for MMG include: 1) lower commodity prices including copper, zinc and lead; 2) operational risks including a sudden improvement/decline in ore grade and local community relationships; and 3) policy risk – overseas assets affected negatively by local countries’ mining policies, such as tax.
1378.HK	Hongqiao	Neutral	22.86	26.00	2027E P/B vs.2027E ROE based on historical correlation	Key risks for Hongqiao: 1) higher/lower aluminum and alumina pricing, driven by improving/worsening supply-demand balance, that can lead to higher/lower revenue for the company; 2) the capacity cap in primary aluminum gets enhanced/removed or lifted, which could lead to decelerated/accelerated supply of primary aluminium, improving/worsening the industry supply/demand balance, leading to higher/lower aluminium price; 3) faster/slower-than-expected green demand, including acceleration/slowdown of EV and renewables growth in China in the near future; 4) lower/higher-than-expected supply from recycled aluminum in China.
000792.SZ	QH Salt Lake	Buy	24.68	45.00	Average of near-term and long-term valuation: We use QHL's past 12-month average P/E of 16x to arrive at a near-term valuation for 2026E, while using a long-term 2030E valuation based on 8x P/E for potash, and 15x P/E for lithium using a discount rate of 10% back to 2026E. We also include Rmb1.3/sh for available natural brine.	Key downside risks: 1) lower-than-expected lithium carbonate prices due to slower-than-expected pace of EV and energy storage adoption; 2) major expansion of domestic lepidolite based lithium carbonate projects; 3) EV battery recycling to provide higher-than-expected lithium supply; 4) lower imported supply from Eastern Europe and Canada and/or acceleration in Laos potash projects; 5) technology improvements leading to lower-than-expected output or deteriorating production efficiency on extraction and mining.

Source: Datastream, Goldman Sachs Global Investment Research

Exhibit 88: Valuation methodologies and key risks to our ratings and target prices (cont'd)

Ticker	Company	Rating	Price (Tccy) 16-Jul-2026	12m price target (Tccy)	12 month price target methodology	Risks
1818.HK	Zhaojin	Buy	18.63	42.00	2028E P/B vs.2028E ROE based on historical correlation, discounted back to 2026E	Key downside risks: 1) Gold and copper price fluctuations (2026E earnings are impacted 4% for every US$100/oz change in gold price); 2) project execution, which is key to the sustainability of the company's growth profile; and 3) declining grade for mines, which drives the output and unit production cost of a mine.
1898.HK	Chinacoal-H	Buy	10.03	18.00	2026E P/B vs.2026E ROE based on historical correlation	Key downside risks for Chinacoal-H/A: 1) lower-than-expected coal prices; 2) a faster-than-expected pace of renewable energy replacement; 3) a decrease in oil price that could lead to lower coal chemical segment profit; 4) more production disruptions due to safety or environmental inspections; 5) slower-than-expected project execution for new mines such as the Libi mine and Dahaize mine.
2009.HK	BBMG-H	Neutral	0.58	0.70	2026E P/B vs.2026E ROE based on historical correlation	Key risks: 1) faster/slower construction pace of infrastructure projects in northern regions; 2) stabilization/worsening in its property development and management sector; 3) lower/higher-than-expected costs for raw materials and inputs like coal or power.
2233.HK	WCC	Sell	1.71	1.10	2026E P/B vs.2026E ROE based on historical correlation	Key upside risks includes: 1) weaker-than-expected cement supply increases would lead to higher cement price levels; 2) stronger-than-expected demand, especially construction demand, that could lead to industry utilization at higher levels, potentially affecting cement prices; 3) overseas assets' currency/country policy impact, with WCC recently expanding to Africa and central Asia. Local policy changes and FX rate changes will also affect WCC operations.
2600.HK	Chalco-H	Sell	7.87	7.50	2027E P/B vs.2027E ROE based on historical correlation	Key upside risk: 1) high aluminum and alumina pricing, driven by better supply-demand balance, and 2) slower than expected aluminum projects expansion in ex-China could limit market supply and improve the supply-demand balance; 3) faster-than-expected green demand, including acceleration of EV and renewables growth in China in the near future; 4) lower-than-expected supply from recycled aluminum in China.
2689.HK	NDPaper	Sell	7.47	4.30	Average of FY26E and FY26E P/B vs ROE based on historical correlation	Key upside risks include: 1) higher paper prices, which are driven by industry supply/demand. 2) currency risk as the company needs to import waste paper pulp from overseas. 3) policy risk including looser regulations to convert coal to gas for captive power plants. 4) macro factors, such as the trade tension impact on downstream consumer demand, raw material sourcing, import/export policies.
2899.HK	Zijin-H	Buy	30.86	51.00	2026E P/B vs. 2026E ROE based on historical correlation	Key downside risks: 1) weaker-than-expected commodity prices including copper and gold; 2) project execution and slow progress, which is key to sustaining the company's growth profile; and 3) overseas assets' currency/country risk.
3323.HK	CNBM	Buy	3.84	6.00	2026E P/B vs.2026E ROE based on historical correlation	Key downside risks: 1) weaker-than-expected construction demand, that ultimately negatively affects cement pricing; 2) slower-than-expected unauthorized cement capacity exit, that would lead to persistent depressed cement price levels; 3) weak new material performance, due to demand slowdown in each product verticals, over capacity, and/or competitions.
3993.HK	CMOC-H	Buy	16.29	25.00	2026E P/B vs. 2026E ROE based on historical correlation	Key downside risks include: 1) weaker-than-expected commodity prices including copper, cobalt, niobium, phosphorus; 2) operational risks including a sudden decline in ore grade of mine and transportation blockage; 3) slower-than-expected project execution, which is key to sustaining the company's growth profile; 4) overseas assets' currency/country risk; and 5) hedging operation in trading business.
002340.SZ	GEM	Neutral	6.31	8.00	SOTP including 1) battery material business: average of near-term and mid-cycle valuation. We use GEM's past 12-month average P/E of 20x to arrive at near-term valuation for 2026E. While our mid-cycle valuation remains unchanged by including 15x P/E on 2030E for the core operation from mining materials and 18x P/E on 2030E for core operation from EV recycling materials, discounted back to 2026E using a discount rate of 10.0%; 2) recycling of tungsten and cobalt alloy at 30x P/E on 2026E earnings.	Key upside/downside risks include: 1) EV battery recycling growth faster/slower than expected; 2) lower/higher precursor price/margin; 3) project execution better/worse than expected; 4) raw material risk related to purchase quantity and cost; 5) overseas policy risk with its investment in Indonesia.
1313.HK	CRBMT	Neutral	1.06	1.30	2026E P/B vs.2026E ROE based on historical correlation	Key risks includes: 1) stronger/weaker-than-expected property and infrastructure demand to lower utilization, which ultimately negatively affects cement pricing; 2) faster/slower-than-expected unauthorized cement capacity exit, which would lead to improved/depressed cement price levels; 3) market share gain/loss in GD/GX regions, due to less/more intensified competition and potential launch of new production lines, through replacement; 4) improvement/deterioration in OCF due to higher receivables and inventory.

Source: Datastream, Goldman Sachs Global Investment Research

Exhibit 89: Valuation methodologies and key risks to our ratings and target prices (cont'd)

Ticker	Company	Rating	Price (Tccy) 16-Jul-2026	12m price target (Tccy)	12 month price target methodology	Risks
600019.SS	Baosteel	Neutral	5.68	6.70	2026E P/B vs.2026E ROE based on historical correlation	Key upside/downside risks: Key upside risks: 1) Higher-than-expected steel prices, which are determined by the industry supply-demand balance and the auto market, would result in higher earnings than we assume in our model; 2) steel industry capacity closure and production control for crude steel would lead to higher steel prices; 3) government policies in new additional capacity and export-related tax cuts in HRC and CRC could result in earnings exceeding our forecasts. Key downside risks: 1) Higher cost pressure from iron ore, coal and other raw materials could lead to lower profit than we assume in our forecasts; 2) higher-than-expected SG&A and/or R&D expenses would result in lower earnings; 3) margin decrease in steel would result in lower-than-expected earnings.
601088.SS	Shenhua-A	Neutral	43.27	47.00	2026E P/B vs.2026E ROE based on historical correlation	Key risks include: 1) higher/lower-than-expected coal prices, which are driven by coal supply/demand and price controls imposed by the NDRC; 2) a slower/faster-than-expected pace of renewable energy replacement; 3) an increase/decrease in oil price that could lead to higher/lower coal chemical segment profit; 4) more/less production disruptions due to safety or environmental inspections; 5) faster/slower-than-expected project execution for new mines such as Xinjie mine.
600188.SS	Yankuang-A	Sell	19.47	19.00	2026E P/B vs.2026E ROE based on historical correlation	Key upside risks: 1) higher-than-expected coal prices in domestic and international markets; 2) a slower-than-expected pace of renewable energy replacement; 3) rising oil price that could lead to higher-than-expected coal chemical segment profit; 4) more production disruptions due to safety or environmental inspections; 5) faster-than-expected project execution for new mines and assets injection from the parent company.
600362.SS	JXC-A	Buy	42.11	60.00	2026E P/B vs. 2026E ROE based on historical correlation	Key downside risks include: 1) JXC's earnings are highly leveraged to commodity prices (mainly copper), which depend on industry supply additions and global economic growth, so downside could come from a sudden decline in China's refined copper demand, which ultimately would affect net earnings; 2) delay in JXC's copper mine expansion due to government approvals or other macro factors, that ultimately affects net earnings; 3) operational risks including a sudden decline in ore grade, which would ultimately affect the company's net earnings.
600585.SS	Conch-A	Buy	17.55	26.50	2026E P/B vs.2026E ROE based on historical correlation	Key downside risks: 1) weaker-than-expected property and infrastructure demand to lower utilization, that ultimately negatively affects cement pricing; 2) slower-than-expected unauthorized cement capacity exit, that would lead to persistent depressed cement price levels; 3) market share loss in YZD regions, due to more intensified competition and potential launch of new production lines, through replacement; 4) higher-than-expected coal/other raw material cost, and/or additional environmental protection spending to negatively affect margins.
600808.SS	Maanshan-A	Sell	2.49	2.40	2026E P/B vs.2026E ROE based on historical correlation	Key upside risks for Maanshan-A: 1) Higher steel prices which are determined by the industry supply-demand balance, that can lead to better revenue for company; 2) steel industry capacity closure and production control for crude steel, which could drive higher margin; 3) raw materials costs including lower iron ore and met coal that can potentially drive higher margins.
601898.SS	Chinacoal-A	Buy	12.54	23.00	2026E P/B vs.2026E ROE based on historical correlation	Key downside risks for Chinacoal-H/A: 1) lower-than-expected coal prices; 2) a faster-than-expected pace of renewable energy replacement; 3) a decrease in oil price that could lead to lower coal chemical segment profit; 4) more production disruptions due to safety or environmental inspections; 5) slower-than-expected project execution for new mines such as the Libi mine and Dahaize mine.
601899.SS	Zijin-A	Buy	29.25	49.00	2026E P/B vs. 2026E ROE based on historical correlation	Key downside risks: 1) weaker-than-expected commodity prices including copper and gold; 2) project execution and slow progress, which is key to sustaining the company's growth profile; and 3) overseas assets' currency/country risk.
601992.SS	BBMG-A	Sell	1.42	1.00	2026E P/B vs.2026E ROE based on historical correlation	Key upside risks include: 1) faster construction pace of infrastructure projects in northern regions, combined with improved supply discipline, leading to better cement pricing; 2) stabilization in its property development and management sector, which may lead to higher-than-expected GFA booked sales areas and better ASP and margin versus our estimates; 3) lower-than-expected costs for raw materials and inputs like coal or power.
603993.SS	CMOC-A	Buy	18.20	26.00	2026E P/B vs. 2026E ROE based on historical correlation	Key downside risks include: 1) weaker-than-expected commodity prices including copper, cobalt, niobium, phosphorus; 2) operational risks including a sudden decline in ore grade of mine and transportation blockage; 3) slower-than-expected project execution, which is key to sustaining the company's growth profile; 4) overseas assets' currency/country risk; and 5) hedging operation in trading business.
601600.SS	Chalco-A	Sell	8.68	7.80	2027E P/B vs.2027E ROE based on historical correlation	Key upside risk: 1) high aluminum and alumina pricing, driven by better supply-demand balance, and 2) slower than expected aluminum projects expansion in ex-China could limit market supply and improve the supply-demand balance; 3) faster-than-expected green demand, including acceleration of EV and renewables growth in China in the near future; 4) lower-than-expected supply from recycled aluminum in China.
000898.SZ	Angang-A	Sell	1.96	1.65	2026E P/B vs.2026E ROE based on historical correlation	Key upside risks for Angang-H/A: 1) Higher steel prices which are determined by the industry supply-demand balance, that can lead to better revenue for company; 2) steel industry capacity closure and production control for crude steel, which could drive higher margin; 3) raw materials costs including lower iron ore and met coal that can potentially drive higher margins.

Source: Datastream, Goldman Sachs Global Investment Research

Exhibit 90: Valuation methodologies and key risks to our ratings and target prices (cont'd)

Ticker	Company	Rating	Price (Tccy) 16-Jul-2026	12m price target (Tccy)	12 month price target methodology	Risks
9696.HK	Tianqi-H	Sell	33.68	48.00	Average of near-term and long-term mid cycle valuations. We use Tianqi's H share price implied past 12-month average P/Es or 20x for 2026E to arrive at near-term valuation, while we derive long-term mid cycle valuation from 12x P/E on 2030E earnings when lithium price at mid-cycle levels, discounted back to 2026E using a discount rate of 10.0%.	Key risks include: 1) higher lithium product prices; 2) project execution risk, faster-than-expected ongoing project expansion could result in higher-than-expected company earnings; 3) raw material purchase risk; 4) uncertainty in government policy that may affect the pace of adoption of EVs, leading to higher-than-expected lithium compounds demand; 5) overseas assets' currency/country risk; with most of Tianqi's upstream projects located overseas, including in Australia/Chile, local mining laws, policy changes and FX rate changes could affect Tianqi's operations; 6) EV battery recycling growth - if EV battery recycling is slower than our expectation and provides less recycled lithium, it would lead to stronger mining lithium demand; 7) positive outcome from SQM Atacama renewal, which could boost our LT earnings forecast.
002466.SZ	Tianqi-A	Sell	49.34	42.00	Average of near-term and long-term mid cycle valuations. We use Tianqi's A share price implied past 12-month average P/Es or 20x for 2026E to arrive at near-term valuation, while we derive long-term mid cycle valuation from 12x P/E on 2030E earnings when lithium price at mid-cycle levels, discounted back to 2026E using a discount rate of 10.0%.	Key risks include: 1) higher lithium product prices; 2) project execution risk, faster-than-expected ongoing project expansion could result in higher-than-expected company earnings; 3) raw material purchase risk; 4) uncertainty in government policy that may affect the pace of adoption of EVs, leading to higher-than-expected lithium compounds demand; 5) overseas assets' currency/country risk; with most of Tianqi's upstream projects located overseas, including in Australia/Chile, local mining laws, policy changes and FX rate changes could affect Tianqi's operations; 6) EV battery recycling growth - if EV battery recycling is slower than our expectation and provides less recycled lithium, it would lead to stronger mining lithium demand; 7) positive outcome from SQM Atacama renewal, which could boost our LT earnings forecast.
002497.SZ	Yahua	Sell	17.45	21.50	SOTP including 1) lithium operation: average of near-term and long-term mid cycle valuations. We use Yahua's share price implied past 12-month average P/E for 2026E or 20x to arrive at near-term lithium valuation, while long-term mid cycle lithium valuation is derived from 12x PE on 2030E based earnings when lithium price at mid cycle levels, discounted back to 2026E using a discount rate of 10%; 2) civil explosives operation at 15x P/E on 2026E based earnings.	Key risks include: 1) higher lithium product prices; 2) faster-than-expected ongoing project execution; 3) raw material purchase risk, lower-than-expected raw material costs due to new arrangements; 4) policy risk that may affect the pace of EV adoption, leading to higher-than-expected lithium compounds demand; 5) overseas assets' currency/country risk; and 6) EV battery recycling growth slower than expectation.
002756.SZ	Yongxing	Sell	44.26	52.00	SOTP: 1) lithium operation: average of near-term and long-term mid cycle valuations. We use Yongxing's share price implied past 12-month average P/E for 2026E or 25x to arrive at near-term lithium valuation, while long-term mid cycle lithium valuation is derived from 15x PE on 2030E based earnings when lithium price at mid cycle levels, discounted back to 2026E using a discount rate of 10%; 2) special steel operation at 10x P/E on 2026E earnings.	Key risks include: 1) a rise in lithium product prices, including lithium compounds and spodumene; 2) better-than-expected project execution; 3) environmental cost for tailing management undershooting our assumptions; 4) more favorable government policy that may affect the pace of EV adoption; and 5) EV battery recycling growth slower than expected.

Source: Datastream, Goldman Sachs Global Investment Research

Exhibit 91: Valuation methodologies and key risks to our ratings and target prices (cont'd)

Ticker	Company	Rating	Price (Tccy) 16-Jul-2026	12m price target (Tccy)	12 month price target methodology	Risks
1772.HK	Ganfeng-H	Sell	37.82	60.00	Average of near-term and long-term mid cycle valuations: We use Ganfeng's H share price implied past 12-month average P/Es for 2026E or 30x to derive near-term valuation, while long-term mid cycle valuation is based on SOTP including 15x P/E for core operation from mining materials on 2030E earnings when we expect most of Ganfeng's on-going construction projects to be fully ramped up and lithium price at mid cycle levels, and 18x P/E for core operation from EV recycling materials on 2030E earnings, discounting back to 2026E using a discount rate of 10.0%.	Key risks include: 1) higher lithium product prices; 2) faster-than-expected ongoing project expansion; 3) raw material purchase risk, lower-than-expected raw material costs due to new arrangements; 4) policy risk that may affect the pace of EV adoption, leading to higher-than-expected lithium compounds demand; 5) overseas assets' currency/country risk; and 6) EV battery recycling growth faster than expected.
002460.SZ	Ganfeng-A	Sell	48.48	53.00	Average of near-term and long-term mid cycle valuations. We use Ganfeng's A share price implied past 12-month average P/Es for 2026E or 30x to derive near-term valuation, while long-term mid cycle valuation is based on SOTP including 15x P/E for the core operation from mining materials on 2030E earnings when we expect most of Ganfeng's on-going construction projects to be fully ramped up and lithium price at mid cycle levels, and 18x P/E for core operation from EV recycling materials on 2030E earnings using a discount rate of 10.0%.	Key risks include: 1) higher lithium product prices; 2) faster-than-expected ongoing project expansion; 3) raw material purchase risk, lower-than-expected raw material costs due to new arrangements; 4) policy risk that may affect the pace of EV adoption, leading to higher-than-expected lithium compounds demand; 5) overseas assets' currency/country risk; and 6) EV battery recycling growth faster than expected.
603799.SS	Huayou	Sell	37.00	51.00	SOTP including 1) battery material business: average of near-term and mid-cycle valuations. We use Huayou's past 12-month average P/E of 13x to arrive at near-term valuation for 2026E. While our mid-cycle valuation remains unchanged by including 15x P/E on 2030E for the core operation from mining materials and 18x P/E on 2030E for core operation from EV recycling materials, discounted back to 2026E using a discount rate of 10.0%; 2) copper operation at 10x P/E on 2026E earnings.	Key risks: 1) EV battery recycling growth faster than expectations; 2) higher-than-expected precursor and cathode price/margin, which are driven by industry supply/demand; 3) project execution, including both operation starting time and ramp-up period; 4) lower-than-expected raw material costs; 5) overseas policy risk with its upstream projects in Indonesia and DRC.
002078.SZ	Sun Paper	Sell	13.39	12.20	2026E P/B vs.2026E ROE based on historical correlation	Key upside risks: 1) higher-than-expected paper price; 2) positive policy changes for imported waste paper/pulp/requirement to convert coal to gas for captive power plants; 3) positive macro factors; 4) project execution accelerating in Laos for construction and ramp-up.

Source: Datastream, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Trina Chen, Joy Zhang, Roy Shi, Fiona Ye and Daisy Dai, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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